Skills

Advanced Assurance



AAPQs
Solutions

2026

Solution to Question 1 (17 marks)

Requirement 1: substantive analytical review ('SAR')

Category	Expectation
Property The depreciation method is 2% straight line. Prior to the revaluation, the expected depreciation charge for 6 months on the original cost of £27,000k is: 2% * £27,000 * 6/12 = £270k. **(1 mark)** Depreciable assets were then revalued to £36,000k on 31 October 20X7, so depreciation is charged on the revalued amount for 6 months: 2% * £36,000k * 6/12 = £360k. **(1 mark)** Therefore, the expected depreciation charge for the year is £630k.	£630k **(1 mark)**
Plant & Equipment The depreciation method is 15% straight line. The expected depreciation is £15,300k * 15% = £2,295k. **(1 mark)**	£2,295
Computer Equipment The depreciation method is 33% diminishing balance. Net book value at 30 April 20X8 is £550k (£950k-£400k). **(1 mark)** The expected depreciation is: 33% * £550k = £181.5k.	£181.5k **(1 mark)**

The difference between actual and expected depreciation is as follows:

	Expectation £'000	Actual £'000	Difference £'000
Property	630	540	90
Plant & Equipment	2,295	2,115	180
Computer Equipment	181.5	179	2.5

(1 mark)

Conclusion

Tolerable error is £76,000. As the difference between our expectation and the actual depreciation charge for computer equipment is less than our tolerable error, no further analysis is required **(1 mark)**. However, differences in each of the other categories is greater than tolerable error, therefore further analysis is required **(1 mark)**.

Total marks available (9 marks)

Requirement 2: Analysis of reasons for variance

Property

It appears that depreciation has been charged for the full year for the original cost of the property (£27,000k * 2% = £540k) **(1 mark)** rather than separately on the pre and post revalued amount. **(1 mark)**

This would result in depreciation for property being understated, **(1 mark)** as the revaluation was not considered in the calculation. **(1 mark)**

Plant & Equipment

Some of this difference may be due to the timing of additions and disposals in the year **(1 mark)** including the acquisition of new plant C equipment costing £950k. **(1 mark)**

Further audit work would be required **(1 mark)** to assess the timing of additions and disposals correctly calculate depreciation. **(1 mark)**

Total marks available (8 marks)

Overview of question (AAPQ 1)

This question requires you to perform a substantive analytical review (SAR) of depreciation charges across three categories of property, plant and equipment (PPE). Begin by forming a reasonable expectation of the depreciation charge for each asset class using the provided rates and values. Then compare your expectations to the actual charges and assess whether the variances are within the tolerable error threshold. Where they are not, further analysis is required.

Topics covered

- Module 7 – Substantive Analytical Procedures

Learning outcomes and performance indicators

- Design substantive analytical procedures, including audit data analytics.
- Evaluate the findings from substantive analytical procedures, including audit data analytics, and determine the items to be followed up.

What this question is testing

This AAPQ tests your ability to:

- Apply professional judgement in designing and performing substantive analytical procedures.
- Calculate expected depreciation charges using appropriate methods and assumptions.
- Compare actual and expected results and evaluate whether variances are above tolerable error.
- Identify potential reasons for the variances using information from the question

Tips for tackling this question

- Structure your workings clearly. Show each step of your depreciation calculations, especially where revaluations or disposals occur mid-year.
- State all assumptions used in your calculations.
- Use the correct depreciation method: straight-line vs. diminishing balance methods must be applied accurately.
- Compare your expectations to the client's actuals. It may be helpful to do this in a small table.
- Apply tolerable error and conclude. Use the given threshold (£76,000) to determine and conclude which variances require further investigation.
- Explain variances. Where differences exceed tolerable error, provide plausible audit explanations.

Where to find support

- **Module 7**: review guidance on forming expectations, applying tolerable error and evaluating variances

Solution to Question 2 (33 marks)

Requirement 1 – Impact of matters on audit report and audit opinion

Renewal of bank overdraft facility – going concern

The bank's insistence for Ship to bring the overdraft back to within agreed limits may indicate that the bank will withdraw its facility in the near future or not renew the facility on 1 September **(1 mark)** This would represent a material uncertainty and cast doubt over the going concern assumption. **(1 mark)**

The lack of a confirmed letter of support from the parent company **(1 mark)** also adds further uncertainty to whether the going concern assumption is appropriate **(1 mark)** and this matter is pervasive to the financial statements as a whole. **(1 mark)**

However, we may agree that the financial statements should be prepared on a going concern basis even where a material uncertainty affecting the preparation of the accounts on a going concern basis exists **(1 mark)** The directors need of Ship need to adequately disclose the events and conditions, that being the uncertainty over the overdraft renewal **(1 mark)**, that cast doubt over going concern and management's plans to deal with these events and conditions in the financial statements. **(1 mark)** If they do not do this, there is a material misstatement in the financial statements with regards to disclosures. **(1 mark)** This will result in us having to issue an adverse opinion. **(1 mark)**

Should the matter be adequately disclosed **(1 mark)**, we could still issue an unmodified audit opinion. **(1 mark)** However, as this is a matter of fundamental uncertainty impacting going concern we would include reference to this matter within the 'conclusions relating to going concern' section of the audit report. **(1 mark)**

If the directors of Ship fail to provide sufficient appropriate evidence to support the going concern assumption then we would have a limitation of scope. **(1 mark)** Being pervasive, this will result in us having to issue a disclaimer of opinion. **(1 mark)**

HMRC investigation

As this is material **(1 mark)** and we have obtained assurance that there will likely be a required outflow of resources **(1 mark)**, if the directors make an appropriate provision, there will be no effect on the audit opinion. **(1 mark)**

If the directors refuse to provide then this would constitute a material misstatement but would unlikely be pervasive. **(1 mark)** In this situation, we would issue a modified report with a qualified 'except for' opinion. **(1 mark)**

Total marks available (20 marks)

Requirement 2 – Key elements of assurance engagements

The following elements need to be considered to conclude whether this can be constituted as an assurance engagement.

A three-party relationship, involving a practitioner, a responsible party and the intended user. **(1 mark)** Here there is a three-party relationship as the practitioner would be our firm, the responsible party is Berthing and the intended user is the National Yacht and Harbour Association ('NYHA'). **(1 mark)**

Appropriate underlying subject matter is the supporting documentation to be lodged with the Gold Starfish accreditation application. **(1 mark)** The documentation is to cover the period of two years up to 31 May 2X18. **(1 mark)**

Suitable criteria or benchmarks are required to evaluate or measure the subject matter. **(1 mark)** In this case, the NYHA have accreditation documentation that provides specific rigorous criteria that are required to be achieved. **(1 mark)**

Sufficient, appropriate evidence is required to be gathered by the practitioner in order to evaluate the subject matter against suitable criteria. **(1 mark)** In this case we would be expected to:

- Review the nature of the work carried out with reference to the NYHA documentation. **(1 mark)**
- Validate that the work was performed with reference to the policy and procedures that Berthing have implemented and review of reports required. Specifically, a review of the environmental log for the two years to 31 May 2X18 that would detail all matters including the fuel and oil spillage. **(1 mark)**

An assurance report will include a conclusion that gives a level of assurance to whether the subject matter conforms in all material respects with the identified criteria. **(1 mark)**

(10 marks)

Requirement 3 – Alternative levels of assurance and recommendation

There are two levels of assurance available:

Reasonable assurance

Reasonable assurance is a high but not absolute level of assurance. **(1 mark)** The opinion is expressed in the positive form **(1 mark)** for example "In our opinion, the selected information has been fairly stated and prepared, in all material respects, with the Criteria." This requires a high level of assurance procedures and so can be more time-consuming and costly. **(1 mark)**

Limited assurance

Limited assurance is a lower level of assurance **(1 mark)** which requires less onerous procedures to be performed and is therefore less costly ot the preparer. **(1 mark)** The conclusion is offered in the negative form **(1 mark)**, for example "based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe the selected information is not fairly stated and has not been prepared, in all material respects, in accordance with the Criteria."

Conclusion

Given that the NYHA require independent certification that the supporting documentation is materially correct, this would suggest that a reasonable assurance engagement would be most appropriate. **(1 mark)**

Total marks available (7 marks)

Overview of question (AAPQ 2)

This question contains three distinct requirements. Approach each one methodically:

1. Consider the impact on the audit report and audit opinion
2. Apply the five elements of an assurance engagement in order to assess whether the engagement meets the definition of an assurance engagement
3. Explain the difference between reasonable and limited assurance and recommend the most appropriate level of assurance for the engagement desc

Topics covered

- Module 10 – Completion and Reporting
- Module 12 – Other Assurance Engagements and Related Services
- Assumed Knowledge – ASR Module 1 – Assurance Engagements

Learning outcomes and performance indicators

- Evaluate audit findings and, based on the evidence collected, recommend an appropriate audit report, including the audit opinion and any relevant additional reporting areas
- Design and evaluate the distinct considerations and requirements when undertaking engagements other than a financial statement audit.

What this question is testing

This AAPQ tests your ability to:

- Apply audit reporting standards to real-world scenarios.
- Understand the different types of modified opinions and the structure and content of audit reports.
- Evaluate whether an engagement qualifies as an assurance engagement.
- Distinguish between levels of assurance and recommend the appropriate level.

Tips for tackling this question

- Use audit terminology precisely and consistently.
- Refer to ISA (UK) 705 A1 for a table containing the types of modified audit opinions.
- Consider whether each item is material (based on value or nature), pervasive, and whether this is due to a material misstatement or an inability to obtain sufficient appropriate audit evidence. Use this to help you conclude on the appropriate type of audit opinion
- The impact of going concern issues on the audit report can be complex. Refer back to Module 10 Lesson 5 Topic 3 if you need a reminder on the impact that the auditor's assessment of going concern may have on the audit opinion
- Apply the five elements of assurance engagements clearly and link each to the scenario.
- Discuss both limited and reasonable assurance recommending which would be most appropriate, with a clear justification for your reasoning.
- **Note** – this question asked specifically for levels of assurance, and so it was appropriate to discuss reasonable and limited assurance. Alternatively, an assessment question may not specify that assurance is required and ask instead for you to explain types of non-audit engagements more generally. In such an instance it is appropriate to discuss agreed-upon procedures (a non-assurance engagement) in addition to reasonable and limited assurance.

Where to find support

- **Module 10**: review content on audit report structure, types of audit opinion, materiality and pervasiveness in Lesson 5
- **Module 12**: review content on elements of assurance engagements and reasonable vs. limited assurance. If this is unfamiliar, revisit the Assurance course Module 1

Solution to Question 3 (16 marks)

The audit of related parties is covered in ISA (UK) 550.

a) The procedures to test completeness of related parties include:

- Discuss with management the nature of the relationship with Fishers **(1 mark)** to identify whether similar contracts have been entered into during the year or similar relationships exist with other suppliers. **(1 mark)**
- Enquire into the affiliation of directors and senior management, including Dr Sharon Brown, with other companies. **(1 mark)**
- Understand and test the company's procedures and controls for the identification and recording of related parties. **(1 mark)**
- Analyse accounting records for transactions with related parties. **(1 mark)**
- Review board minutes and bank and legal confirmations and identify any other related parties from these. **(1 mark)**
- Inspect income tax returns, shareholder registers, records of the entity's investments, life insurance policies for evidence of related party relationships. **(1 mark)**
- Obtain written representations that management has disclosed to the auditor and accounted for and disclosed all related party relationships and transactions in the financial statements. **(1 mark)**

Total marks available (8 marks)

b) The procedures that should be performed to test management's accounting for and disclosure of related parties include:

- Obtain written confirmation **(1 mark)** of related party transactions from Caring's solicitors. **(1 mark)** Obtain written confirmation of the purpose, terms and amounts of transactions from Fishers **(1 mark)** and confirm that these are reasonable and disclosed correctly in Caring's financial statements. **(1 mark)**
- Obtain the financial statements of Fishers and inspect to assist in understanding the nature and value of the related party transactions **(1 mark)** and confirm if these are in line with the disclosure in Caring's financial statements. **(1 mark)**
- Confirm with reference to the underlying accounting records **(1 mark)** that sales transactions and commissions have been properly and accurately recorded in the financial statements. **(1 mark)**

Total marks available (8 marks)

Overview of question (AAPQ 3)

- This question requires you to design audit procedures for related party transactions. Start by identifying the risks of material misstatement associated with related parties, including completeness and accuracy of disclosures. Then, outline procedures to confirm the completeness of related parties identified and to test management's accounting and disclosure of related party transactions. Use ISA (UK) 550 as a reference for audit requirements in this area.

Topics covered

- Module 5 – Specific risk areas and the impact on the audit approach
- Module 8 – Substantive procedures – Part 2

Learning outcomes and performance indicators

- Evaluate information on understanding the entity to identify risks of material misstatements in relation to the auditing standards on related parties

- Plan the approach to obtain sufficient appropriate audit evidence in relation to the auditing standards on related parties.
- Design tailored substantive procedures in response to findings arising during the audit process.

What this question is testing

- This AAPQ tests your ability to design audit procedures in relation to a specific assertion (completeness) for related parties, and to test the accounting and disclosure of related party transactions.

Tips for tackling this question

- Make use of your permitted materials – ISA (UK) 550 may be used to guide your procedures
- Remember that completeness means that there are no omissions, therefore when designing tests for completeness you want to confirm that there has been no understatement of balances
- Consider the different pieces of evidence which may be relevant including board minutes, contracts, and confirmations.
- Structure your answer clearly by separating procedures for completeness and for testing disclosures.

Where to find support

- **Module 5**: guidance on identifying specific risks and planning audit responses for related parties.
- **Module 8**: guidance on how to design substantive procedures.
- **ISA (UK) 550**: requirements for auditing related party relationships and transactions.

Solution Question 4 (30 marks)

Warehouse A

This building suffered significant damage in a recent flood, and it is unclear when the building can return to normal use **(1 mark)**. This would seem to indicate that the building is an impaired asset **(1 mark)**, but no impairment charge has been recorded on the Fixed Asset Register (FAR) **(1 mark)**. As such the data within the FAR in relation to this asset may be inaccurate **(1 mark)**.

Lorry #13

Two lorries (12 and 14) of the same age as Lorry 13 were recently disposed of significantly before the end of their expected useful lives **(1 mark)** and, assuming they had similar carrying amounts to 13, at a loss **(1 mark)**. It seems likely that that Lorry 13 has not been subject to an appropriate depreciation policy reflecting its realistic useful life **(1 mark)** and the that the data within the FAR in relation to this asset may thus be inaccurate **(1 mark)**.

Atlas light van #9

This van was added to the FAR recently but has had a useful life of 10 years applied **(1 mark)**, when the policy for vehicles is 5 years **(1 mark)**. Also, the full, gross invoice value has been capitalised **(1 mark)** when the correct policy is to exclude VAT **(1 mark)**. As such the data held relating to this asset is inaccurate **(1 mark)**.

Conveyor belt, Bottling Plant 1

This asset was capitalised prior to year end **(1 mark)**. However, the invoice indicates that work to bring the asset into use was not expected to take place until early in the following period **(1 mark)**. As such, no asset existed at year end and the data in the FAR, in relation to this asset, is invalid **(1 mark)**.

Gas injector, Bottling Plant 2

This equipment was supplied by a French company, which invoiced in euros **(1 mark)**. An exchange rate of 1.190 was used by Proctor but this was incorrectly multiplied by the euro sum **(1 mark)**, rather than being used to divide the euro sum to give a sterling value to be capitalised **(1 mark)**. As such the data held relating to this asset is inaccurate **(1 mark)**.

Storage tanks

An extract of large payments in Proctor's expenses ledger identified leased storage tanks **(1 mark)**. The correct accounting treatment is for these to be capitalised as right-of-use assets **(1 mark)**. The inclusion of the lease costs in an expense rather than asset ledger entry suggests that the data held on the FAR may be incomplete **(1 mark)**.

Conclusion

There are several issues identified above which highlight that the data is not accurate, valid, and complete **(1 mark)** and therefore the information on the FAR is not suitable for use in the preparation of Proctor's financial statements or their subsequent audit **(1 mark)**.

Total marks available (25 marks)

Overview of question (AAPQ 4)

- This question asks you to confirm the accuracy, validity and completeness of the information provided in relation to property, plant and equipment (PPE) assets, and to document and evaluate the results of your procedures including any issues identified with the data.
- Begin by reviewing the sample extract of the fixed asset register and comparing this to the other supporting. Identify any discrepancies and consider why balances may be misstated and what this suggests about the accuracy, validity or completeness of that piece of information.
- Finally, you are asked to form an overall conclusion as to whether the data is appropriate for use by the audit team. This should be based on the findings from your evaluation and should consider whether the data is sufficiently accurate, complete, and valid to support the planned audit approach.

Topics covered

- Module 2 – Evaluating Data Integrity

Learning outcomes and performance indicators

- Design procedures to evaluate the reliability of information produced by the entity.
- Evaluate the reliability of information produced by the entity for the purpose of audit evidence.

What this question is testing

- This AAPQ tests your ability to assess the reliability of data used in substantive analytical procedures. It requires you to apply professional scepticism and judgement in identifying errors and inconsistencies in trade receivables data. You must demonstrate your understanding of audit evidence, data validation, and the implications of data quality on audit procedures.

Tips for tackling this question

- Reconcile each item in the FAR extract to the supporting documentation, taking note of any discrepancies
- Accuracy, valuation and allocation is a higher risk assertion for PPE, so consider whether depreciation or potential impairments have been applied correctly
- Consider whether there may be any issues with additions or disposals around the year end date
- Note whether there could be any issues when applying exchange rates
- **Do not** refer to over or understatement of PPE, at this stage you are being asked to conclude on the accuracy, completeness, and validity of the supporting **data.**

Where to find support

- **Module 2**: explains the importance of reliable information and audit evidence.

Solution to Question 5 (47 marks)

Requirement 1 - Evaluate the audit risks in relation to property, plants equipment ('PPE')

Overstatement of cost of land and buildings

On 31 March the board revalued the company's factories. This resulted in an uplift of £500,000 in the NBV of the Glasgow and Inverness factories. The entire uplift has been taken to cost or valuation **(1 mark)** and there does not appear to be a reversal of any accumulated depreciation to date. **(1 mark)** Therefore, there is a risk that the cost or valuation of land and buildings **(1 mark)** and accumulated depreciation are overstated. **(1 mark)**

Ownership of the Porsche

Additions to motor vehicles include a Porsche belonging to the chief executive's partner. **(1 mark)** They have not yet been paid for the vehicle despite the addition being recorded in January 20X7. There is a risk that the vehicle is not owned and controlled by the company **(1 mark)** and that the value of motor vehicles is overstated. **(1 mark)**

Overstatement of plant and equipment

Icarus has entered into lease contracts for plant and machinery and office equipment, for the first time. **(1 mark)** These leases have all been capitalised, **(1 mark)** but there is a risk that these may not have been accounted for correctly. **(1 mark)**

Understatement of depreciation of plant and equipment (or over valuation of plant and equipment)

The depreciation charge for new digital plant is over the term of the lease while other plant is depreciated at 25% straight line. **(1 mark)** There is a risk that the life of the new digital equipment is shorter than the term of the lease resulting in the carrying value of such assets being overstated. **(1 mark)** This is also evident from the loss of £80,000 incurred on the disposal of the old digital plant equipment following overestimation of its useful life. **(1 mark)**

Total marks available (13 marks)

Requirement 2 - Tests of control for new purchasing system

The following tests of control would be undertaken. Requisitioning

- Inspect a sample of submitted capital expenditure plans **(1 mark)** and confirm that they have been approved by the relevant head of department. **(1 mark)**
- Inspect the schedule of approved items and, for a sample of items, **(1 mark)** confirm that capital expenditure is approved by the board **(1 mark)** and that any items costing more that £10,000 have been individually approved. **(1 mark)**
- Attempt to access the schedule of approved items **(1 mark)** to confirm that it is password protected and access restricted. **(1 mark)**
- Inspect a sample of capital expenditure amendment printouts **(1 mark)** retained in the accounts department to confirm that these are signed by Ally. **(1 mark)**

Ordering

- Inspect a sample of POs **(1 mark)** to confirm that they are signed as authorised by James Summerville. **(1 mark)** Inspect the schedule of approved items for differences between budget and actual figures **(1 mark)** and compare these with board minutes to ensure differences have been discussed and approved. **(1 mark)**

Receipt of asset

- Observe an asset being delivered to the source department and confirm it is compared with the order and checked for condition and specification. **(1 mark)** Inspect that the order is matched to the delivery note. **(1 mark)**

Approval of invoices

- Obtain a sample of purchase invoices for capital items and inspect **(1 mark)** to confirm that these are signed as approved by the department head and Germaine Green. **(1 mark)**
- Inspect the number sequencing on the invoice register **(1 mark)** and confirm that any returned beyond two weeks show evidence of being followed up. **(1 mark)**

Processing of invoices

- Inspect a sample of monthly exception reports on the agreement between the fixed asset register and nominal ledger **(1 mark)** and confirm approved by James and action has been taken for any identified differences. **(1 mark)**
- Inspect a sample of lease contracts **(1 mark)** to confirm that these are signed by Ally McIntyre. **(1 mark)**

Total marks available (23 marks)

Requirement 3 - Substantive tests for PPE in response to identified audit risks

Overstatement of cost of land and buildings

- Agree the valuations of the factories to a third-party surveyor report and ensure that revaluations have been accounted for correctly. **(1 mark)** If necessary, obtain a valuation from a third-party surveyor covering all three factories **(1 mark)**
- Inspecting the journal entries in relation to the revaluation uplift **(1 mark)** and confirm whether the disclosure note has been correctly updated. **(1 mark)**

Ownership of the Porsche

- Select sample of assets, including the Porsche **(1 mark)**, from the fixed asset register and confirm title by inspection of title deeds, ownership documents etc and confirm that the registered owner is Icarus. **(1 mark)**

Overstatement of plant and equipment

- Obtain copies of the lease agreements for the plant and equipment, ensure the lease is in the company's name and review the terms of the agreement, ensuring that they have been accounted for correctly under IFRS16 Leases. **(1 mark)** Recalculate the value of the right-of-use asset and compare this to the value recorded in the financial statements. **(1 mark)**

Understatement of depreciation of plant and equipment (or over valuation of plant and equipment)

- Inspect the policies for depreciation and ensure in line with industry comparatives. **(1 mark)** Consider whether the depreciation policies are appropriate given the level of losses on assets disposed of during the year. **(1 mark)**
- Using audit data analytics calculate an expectation of the depreciation expense for each category of PPE based on their depreciation policies. Compare to actual depreciation expense and investigate any major differences. **(1 mark)**

Total marks available (11 marks)

Overview of question (AAPQ 5)

This question is divided into three distinct requirements. Tackle each one methodically:

1. Evaluate the audit risks in relation to PPE
    - Begin by identifying specific audit risks from the scenario. Use both the management accounts and supporting notes. Focus areas such as valuation, ownership, classification, and depreciation. Use the information provided to explain why each risk exists and how it could lead to material misstatement (overstatement or understatement of PPE).
2. Design the tests of control for the new purchasing system for PPE
    - Use the detailed system notes to identify key controls over requisitioning, ordering, receipt, invoice approval, and processing. For each control, design a test that would confirm its operating effectiveness. Ensure your tests are specific, practical, and clearly linked to the control being tested.
3. Design substantive procedures for PPE
    - Refer back to the risks identified in Requirement 1 and design substantive procedures that respond directly to those risks. Include procedures for each risk identified. Make sure each procedure is clearly explained and justified.

Topics covered

- Module 4 – Audit Planning
- Module 6 – Internal Control Testing
- Module 8 – Substantive Procedures – Part 2

Learning outcomes and performance indicators

- Evaluate the information collected about an entity to identify the significant risks of material misstatement in the financial statements
- Plan an approach to gathering sufficient appropriate audit evidence in response to identified risks of material misstatement
- Design audit procedures, including the use of computer-assisted audit techniques and audit data analytics, to test the operating effectiveness of key internal controls
- Design tests of detail, including computer assisted audit techniques (CAATs) and audit data analytics (ADAs)

What this question is testing

- This AAPQ tests your ability identify and evaluate audit risks in relation to PPE, design effective tests of control for a new purchasing system, and develop substantive procedures that respond to identified risks. It tests your understanding of audit assertions, control environments, and substantive testing techniques.

Tips for tackling this question

- Link each risk to the impact on the PPE balance (over/understatement, or the impact on a specified assertion).
- Structure your answers clearly, using bullet points or numbered lists where appropriate. A table structure could be used for requirements 1 and 3.
- Be specific in your procedures—avoid vague statements like “check the records.”
- Remember your testing verbs for controls (enquiry, observation, inspection and reperformance) differ from those for substantive testing (enquiry, inspection, recalculation and confirmation)
- Refer to the scenario details to support your points and demonstrate application.

Where to find support

- **Module 4**: see sections on audit risks
- **Module 6**: refer to guidance on designing a test of control
- **Module 8**: refer to guidance on PPE testing and substantive procedures

Solution to Question 6 (50 marks)

Control Weakness	Implication	Recommendation
1. General IT environment (20 marks)		
The IT risk assessment has not been approved by the Managing Director, Jack MacKay. **(1 mark)**	The company may not be able to identify the key risks facing them from an IT perspective **(1 mark)** and may not be focusing IT resource on the correct areas to prevent and detect risk. **(1 mark)**	The IT risk assessment should be presented to the Managing Director **(1 mark)** as soon as possible for approval. **(1 mark)**
The software developers who designed the bespoke IT system are no longer working with the company and little documentation was left. Help is only available via a telephone helpline. **(1 mark)**	There may not be a full understanding of how the system has been designed and how it operates **(1 mark)** which may inhibit the IT department's ability to resolve system issues and effect improvements to the system. **(1 mark)**	Full documentation should be obtained from the software developers relating to the design of the system. **(1 mark)** Steven should meet with the developers at least annually to discuss system requirements and updates. **(1 mark)**
The system is not being backed up due to storage space restrictions **(1 mark)**	As files are not being backed up, this may result in a loss of data **(1 mark)** when the IT system has downtime. **(1 mark)**	Storage capacity should be extended so that all files can be backed up **(1 mark)** on a daily basis. **(1 mark)**
The IT system has regular periods of downtime, the reasons for which are unknown. **(1 mark)**	There is a financial risk from the loss of business during the periods of downtime and from customer dissatisfaction with the lack of service. **(1 mark)** The resulting reputational risk which may arise would also lead to financial loss. **(1 mark)**	The reasons for the system downtime should be investigated and corrective action put in place to prevent future downtime. **(1 mark)** This could include better disaster recovery planning and back up servers. **(1 mark)**
2. Sales System (30 marks)		
Copies of documents signed by customers are scanned into their customer file by whoever opens the mail and the original documents destroyed before any checking is carried out. **(1 mark)**	Documents may be scanned into the wrong customer file resulting in incomplete records for some customers. **(1 mark)** In addition, signed documents may not be securely filed for future use in potential claims. These could result in breaches of the FCA regulations and fines for the company. **(1 mark)**	All documents should be scanned by the broker responsible for that area of business (car, pet, or home). **(1 mark)** After the document has been checked by the broker there should be a check by another broker prior to the signed documents being filed. **(1 mark)**
When customers telephone, brokers can access customer records within the system without requiring the customer to provide their unique customer username. **(1 mark)**	There is a risk of fraud by customers accessing existing customer data without permission. **(1 mark)** This would be a breach of data protection regulations and could result in the business being fined for misconduct. **(1 mark)**	Use of a unique customer number and password for each customer **(1 mark)** which is used throughout as a check that it is the genuine customer's information which is being accessed. **(1 mark)**

Control Weakness	Implication	Recommendation
The system has been programmed to automatically calculate brokers' commission payments based on the number of each type of insurance policy sold in the prior month. This is not reviewed, or exception reports produced. **(1 mark)**	Commissions may be being calculated incorrectly or fraudulently leading to overpayment of brokers **(1 mark)** resulting in financial loss to the company. **(1 mark)**	A reasonableness calculation should be performed on a regular basis e.g., monthly, to assess the accuracy of the automatic commission calculation. **(1 mark)** This test should be performed by a director to ensure independence from the brokers. **(1 mark)**
The integrated IT system means that the company's revenue is recognised as soon as policy purchases are finalised by the customer rather than the date of commencement of the policy or over the term of the policy. **(1 mark)**	Problems with revenue recognition may occur resulting in a potential over or under statement of revenue **(1 mark)** which would have an impact on the company's ability to prepare true and fair financial statements and having accurate financial information for internal decision making. **(1 mark)**	The calculations for recognition should either be updated in the computer system or manually adjusted **(1 mark)** each month to comply with accounting standards. **(1 mark)**
During the year a customer's details were changed in their account. Following an investigation, the directors believe this was carried out by a third party. **(1 mark)**	There is a risk of hacking which may lead to alteration, loss or destruction of data. **(1 mark)** This could result in disruption to the business, breach of data protection regulations and reputational issues if customers become aware. **(1 mark)**	Customers should be required to update passwords on a regular basis. **(1 mark)** A log of access attempts should be kept, and any suspicious activity should result in the account being frozen and the customer being contacted to verify the activity is legitimate. **(1 mark)**
A data interchange is in place with insurance companies and the bank which puts the company's system security at risk. Security processes had not been reviewed or upgraded for a year. **(1 mark)**	Viruses may be transmitted through the interchange putting the company's data at risk. There is also a risk of theft or manipulation of company data by a data interchange partner. **(1 mark)** This was evidenced by corrupted client files which E-Brokers believe entered the system via the interface, causing infection by a computer virus. **(1 mark)**	The company should regularly assess whether it has adequate firewall security in place **(1 mark)** and put in place detection controls to assess the data transferred via the electronic data interchange such as output reports. **(1 mark)**

Total marks available (50 marks)

Overview of question (AAPQ 6)

- This question requires you to evaluate the general IT control environment and the sales system of a newly established insurance brokerage. Begin by identifying weaknesses in each area **(1 mark)**, then explain the implications of these weaknesses on the business and financial statements **(2 marks)** and recommend appropriate improvements to address these weaknesses **(2 marks)**.

Topics covered

- Module 6 – Internal Control Testing

Learning outcomes and performance indicators

- Evaluate an entity's control environment and information systems.
- Recommend actions, including relevant IT general and application controls, that an entity should implement to rectify deficiencies in its control environment and information systems.

What this question is testing

This AAPQ tests your ability to:

- Evaluate IT and sales system controls in a real-world business scenario.
- Identify control weaknesses and assess their implications.
- Recommend practical and effective control improvements which are tailored to each weakness.

Tips for tackling this question

- Structure your answer clearly: separate general IT controls from sales system controls and consider setting out your answer in a three-column table
- Be specific: explain how each weakness could impact the business and financial statements and suggest targeted improvements.
- Prioritise risks: start with the weaknesses which you are most sure of and spend time evaluating these in detail
- Use the mark allocation to help guide how many weaknesses you should identify – four for the first requirement and six for the second requirement.

Where to find support

- **Module 6**: see sections on IT control environments and control evaluation.

Solution to Question 7 (26 marks)

Requirement 1 - List of substantive procedures to gather sufficient evidence over the matters arising, to assess the need for any provision or contingent liability disclosures within the financial statements.

The substantive procedures we would perform are:

1. Legal action over work related accident

    - Obtain a legal confirmation letter from Lochmabie's solicitors **(1 mark)** to obtain third party verification of the situation relating to the legal claim being made by the employee. **(1 mark)**
    - Inspect correspondence with all parties involved in the legal action **(1 mark)** to support the assessment of the likelihood of the legal action being successful and the potential financial impact. **(1 mark)**

2. Environmental investigation

    - Enquire of management as to the status of the investigation and how they have obtained assurance that no damage occurred during building activities. **(1 mark)**
    - Inspect correspondence from the regulatory body relating to the environmental investigation **(1 mark)** to fully understand the grounds for the investigation to assist in the assessment of the potential outcome. **(1 mark)**
    - Consider need for an auditor's expert to assess status of investigation and any potential
    - provision or contingent liability required. **(1 mark)**

3. Warranty

    - Inspect the level of the warranty claims made during the year **(1 mark)** and compare the level of warranty claims made against sales for (say) each of the last five years and assess this against the historic trend to determine whether the contingency is adequate. **(1 mark)**
    - Inspect post year-end activity and communication with claimants **(1 mark)** to determine the level of claims being made and compare to the warranty contingency. **(1 mark)**

4. Cash-back offer to customers

    - Enquire of Lochmabie's sales and marketing team to assess how much interest in the additional building offer there has been from customers. **(1 mark)**
    - Inspect copies of any contracts that have been signed **(1 mark)** to confirm number of customers taking up the offer and the value of works to be performed so that the level of cash-back can be estimated. **(1 mark)**

Total marks available (15 marks)

Requirement 2 – List of substantive audit procedures over company's investment balance

1. Agree the purchase of shares to inspected legal documentation / ownership documentation, nominal ledger transactions, bank statement and to board minutes **(1 mark)** to confirm the existence and cost of the investments. **(1 mark)**
2. Inspect share ownership documentation **(1 mark)** for evidence of ownership and that documentation
3. is in Barlow's name. **(1 mark)**
4. Verify the share price for listed investments at the statement of financial position date by inspecting an appropriate source such as the Financial Times, **(1 mark)** recalculate and confirm the carrying value included in the financial statements. **(1 mark)**
5. Recalculate the fair value adjustment of listed investments **(1 mark)** and verify that this is correctly accounted for in the financial statements. **(1 mark)**

6. Inspect the board minutes and investment documentation **(1 mark)** for information about current investments, new investments and disposals, confirming that these are all reflected in the investment listing. **(1 mark)**
7. Complete a disclosure checklist in relation to the disclosure of investments in the financial statements, to confirm that these are in line with relevant accounting standards. **(1 mark)**

Total marks available (11 marks)

Overview of question (AAPQ 7)

This question is split into two distinct requirements, each focusing on a different audit area.

- Provisions and contingent liabilities
- Begin by reviewing the matters arising from the audit of Lochmabie. For each item, assess whether it represents a provision or a contingent liability. Apply the criteria from IAS 37 and determine the appropriate audit procedures to gather sufficient evidence. Consider the likelihood of outflows and the reliability of estimates to support your conclusions.
- Investment testing
- Review the background information on Barlow's investment portfolio. Design substantive procedures to test the existence, valuation, and presentation of listed investments.

Topics covered

- Module 8 – Substantive procedures – Part 2
- Module 9 – Substantive procedures – Part 3

Learning outcomes and performance indicators

- Design tests of detail, including computer assisted audit techniques (CAATs) and audit data analytics (ADAs)
- Design tailored substantive procedures in response to findings arising during the audit process
- Evaluate outstanding matters from the audit and design procedures to gather evidence to conclude the matters.

What this question is testing

This AAPQ tests your ability to:

- Apply audit judgement to assess provisions and contingent liabilities
- Design appropriate substantive procedures for complex audit areas.
- Evaluate audit evidence and determine the need for financial statement adjustments.
- Test listed investments for existence, valuation, and disclosure.

Tips for tackling this question

- Use IAS 37 criteria to distinguish between provisions and contingent liabilities.
- For each matter, consider materiality and likelihood of outflow.
- Structure your audit procedures clearly: identify the risk, the evidence required, and the source.
- When designing each substantive test ensure you include: verb (eg enquiry, inspection, recalculation, confirmation), population, evidence and activity.
- Remember that enquiry alone will not provide sufficient, appropriate evidence, and so enquiry procedures will be worth 1 mark only.

Where to find support

- **Module 8**: refer to sections on provisions, contingent liabilities and investments.
- **Module 9**: refer to sections on outstanding matters
- **IAS 7**: if you need a refresher on the difference between a provision and contingent liability.

Solution to Question 8 (48 marks)

Requirement 1 – Evaluation of outstanding points from the audit

	Evaluation of outstanding audit point	Additional audit procedures
1.	Bank confirmation letter not received for high interest investment account. **(1 mark)** We need third-party evidence to support the figure in the financial statements and ensure that Braking has the right to recognise the asset, **(1 mark)** otherwise cash may be overstated. **(1 mark)**	• Contact bank again **(1 mark)** to request bank confirmation letter be reissued. **(1 mark)** • Inspect other substantive evidence from Braking to obtain comfort over the bank balance **(1 mark)** such as copies of bank statements and bank reconciliations. **(1 mark)**
2.	A material amount due from Scotlandfly Ltd at the year end remained outstanding at the end of the audit fieldwork visit. **(1 mark)** The cash had been promised and was not provided for in the allowance for doubtful debt. There is a risk that trade receivables may be overstated **(1 mark)** if Scotlandfly is not able to or does not pay. **(1 mark)**	• Enquire of Braking management to determine whether the outstanding debt has been received or whether they have had any further communication regarding when payment will be made. **(1 mark)** • Inspect any other evidence such as copies of communication from the customer or lawyers' letters **(1 mark)** to determine if the debt will be repaid. **(1 mark)** Inspect post audit fieldwork bank statements **(1 mark)** to identify any cash receipts. **(1 mark)**
3.	Confirmation not yet received regarding the resignation of a director during the year **(1 mark)** and this is needed to support disclosure in the financial statements **(1 mark)** required under the Companies Act 2006. **(1 mark)**	• Inspect written evidence of resignation of the director and the date of resignation from a search of Companies House database and review of board minutes **(1 mark)** to confirm change to directors. **(1 mark)** Inspect payroll records **(1 mark)** to identify any termination payments made to the director which may require to be disclosed in the financial statements. **(1 mark)**

Total marks available (22 marks)

Requirement 2 (a) (b) and (c) – Evaluation of subsequent events

Liverpool building - Impairment

a) Evaluation of event, concluding adjusting/non-adjusting

Post year end, Braking received an offer and approved a sale of a building in Liverpool for £175,000, which is £300,000 lower than the carrying value of the building at 31 March 20X1. **(1 mark)** Whilst the sale occurred post-year end, this is an adjusting event as the conditions which gave rise to the decline in the building value (planning restrictions imposed by the local council in March 20X1) existed at the year-end date. **(1 mark)** Braking should reduce the carrying value of land and buildings within the financial statements. **(1 mark)**

b) Additional audit procedures

- Inspect a copy of the offer to buy received by Braking and any signed contracts available **(1 mark)** to confirm the selling price and terms. **(1 mark)**
- Obtain confirmation from an external expert **(1 mark)** on the impact of the new regulations imposed by the council and the date they took effect. **(1 mark)**

c) Impact on audit report/audit opinion

The financial statements do not reflect the fact that the value of the land and buildings owned by the company has been impaired based on its sales price **(1 mark)** - it is shown in the financial statements at a value £300,000 higher than the valuation. **(1 mark)** Therefore, the value of the misstatement is above the materiality threshold of £125,000, **(1 mark)** but as it is isolated to one area of the financial statements and accounts for only 9% of the overall net book value of property, plant and equipment, it would be considered material, but not pervasive. **(1 mark)**

If Braking do not reduce the carrying value of land and buildings, a qualified 'except for' opinion would be issued. **(1 mark)**

Outcome of legal case - Contingent Gain

a) Evaluation of event, concluding adjusting/non-adjusting

A court case in relation to fire damage will not be finalised until after the financial statements have been approved by the board, however Braking wishes to reflect the compensation as being paid in the year to 31 March 20X1. **(1 mark)** As income can only recognised when it is 'virtually certain', it is unlikely that this would be an adjusting event. **(1 mark)** If this is the case, no adjustment should be made to reflect the compensation paid in the financial statements to 31 March 20X1. **(1 mark)**

b) Additional audit procedures

- Inspect copies of the calculations performed to determine the potential compensation of £450,000 **(1 mark)** and recalculate to determine the accuracy of the figure. **(1 mark)**
- Obtain and inspect third party evidence from Braking's lawyers and any other available relevant correspondence **(1 mark)** to determine the likelihood of the case being decided in favour of Braking. **(1 mark)**

c) Impact on audit report/audit opinion

If the contingent gain were to be excluded from the financial statements there would not be any impact on the audit opinion **(1 mark)**

If the contingent gain were to be included in the financial statements, it is likely that this would be material, **(1 mark)** but not pervasive, in the context of the financial statements as a whole. **(1 mark)** If the income is included in the financial statements then a qualified 'except for opinion should be issued. **(1 mark)**

If Braking chose to disclose the income in the financial statements as a note to the accounts (contingent asset) then we would assess whether the receipt of the income is probable **(1 mark)**. If we agree that the contingent asset is probable, then we would issue an unmodified audit opinion **(1 mark)**. If we assess it is not probable, then a qualified 'except for' opinion should be issued **(1 mark)**.

Requirement 2(a) Total marks available (6 marks)

Requirement 2(b) Total marks available (8 marks)

Requirement 2(c) Total marks available (12 marks)

Overview of question (AAPQ 8)

This question has distinct requirements

- Firstly you are asked to evaluate outstanding points from the audit, analysing why each is an issue and recommending what further audit procedures are needed. When analysing why each is an issue, consider what impact these may have on the financial statements (e.g. overstatement or understatement). When designing further audit procedures, make sure each procedure contains: verb, population, evidence and activity
- The second question requires you to evaluate subsequent events and their impact on the financial statements and audit opinion. Start by identifying whether each event is adjusting or non-adjusting based on whether the conditions existed at the year-end. Then determine the appropriate accounting treatment and assess whether sufficient appropriate audit evidence has been obtained. Finally, evaluate the impact on the audit report and opinion if the issue is not resolved satisfactorily, considering whether each event may be material or pervasive.

Topics covered

- Module 9 – Substantive procedures – Part 3
- Module 10 – Completion and reporting

Learning outcomes and performance indicators

- Evaluate outstanding matters from the audit and design procedures to gather evidence to conclude the matters.
- Evaluate subsequent events and design procedures to obtain sufficient, appropriate audit evidence in relation to outstanding subsequent events
- Evaluate audit findings and, based on the evidence collected, recommend an appropriate audit report, including the audit opinion and any relevant additional reporting areas

What this question is testing

This AAPQ tests your ability to evaluate outstanding matters, including the potential impact on the financial statements, and design appropriate procedures to resolve these matters.

It also tests your ability to apply ISA (UK) 560 *Subsequent Events* and ISA (UK) 700 *Forming an Opinion and Reporting on Financial Statements*. You are expected to demonstrate professional judgement in evaluating subsequent events, determining their impact on the financial statements, and assessing the implications for the audit opinion. You must also show an understanding of materiality and pervasiveness in forming your conclusions.

Tips for tackling this question

- Evaluate each outstanding matter in turn, considering the potential impact on the financial statements
- Consider what evidence could resolve each matter and write a comprehensive procedure detailing how the auditor would obtain sufficient, appropriate audit evidence.
- Consider using a two-column table for the first requirement
- Clearly distinguish between adjusting and non-adjusting events.
- Use best practice for writing comprehensive testing procedures when providing additional audit procedures ie try to include where possible: verb (eg enquiry, inspection, recalculation, confirmation), population, evidence and activity.
- Refer to ISA (UK) 705 A1 for a table containing the types of modified audit opinions
- Consider whether each item is material (based on value or nature), pervasive, and whether this is due to a material misstatement or an inability to obtain sufficient appropriate audit evidence. Use this to help you conclude on the appropriate type of audit opinion
- Consider using a three-column table for the second requirement

Where to find support

- **Module 9**: guidance on how to evaluate outstanding matters and design audit procedures
- **Module 10**: guidance on subsequent events, audit reporting, and forming an audit opinion.

Solution to Question 9 (17 marks)

Requirement - Summary of Audit Misstatements and justification

2 marks are available for appropriate recording of the correct journal, including whether this is material and whether it has been adjusted by management.

3 marks available for summary and conclusion, including summary of adjusted and unadjusted differences and overall conclusion.

Turbolite Ltd					
Year end: 30 September 20X2 Summary of audit misstatements					
Financial Statement Account					
		Dr	**Cr**		
		£	**£**	**Material**	**Adjusted**
1	Property, plant and equipment	3,500,000		Y	N *Note 1*
	Accruals		3,500,000		
	being correction to recognise PPE received pre year end				
2	SPL – Cost of sales	50,000		N	N *Note 2*
	Inventory		50,000		
	being write down for inventory sold below cost post year end				
3	SPL – Bad debt write off	145,000		Y	Y *Note 3*
	Trade receivables		145,000		
	being write off of unrecoverable receivable				

Summary and Conclusion		
Adjusted differences in SPL	145,000 Dr	Unadjusted differences are judged to be immaterial.
Unadjusted differences in SPL	50,000 Dr	
Adjusted differences in net assets	145,000 Cr	
Unadjusted differences in net assets	50,000 Cr	

(9 marks)

Note 1

The asset was received and in use prior to the year end. The non-current assets and current liabilities figures should be amended as this is an adjusting event **(1 mark)**. Although currently unadjusted, management would need to correct this to allow an unmodified audit report as the non-current assets and current liabilities would be materially misstated. **(1 mark)**.

Note 2

The subsequent sale is an adjusting subsequent event providing additional evidence of the value of the finished goods at the year-end **(1 mark)**.. However, the difference between the cost and NRV is £50,000 and is not material and therefore does not require adjusting **(1 mark)**.

Note 3

The liquidation of Drivetrain Ltd and the subsequent writing off of the debt should be reflected in the financial statements (as appropriately reflected by management), as it is likely that the conditions resulting in the liquidation were in existence at the year-end and so this is an adjusting event **(1 mark)**. As this misstatement is individually greater than overall materiality it should be adjusted **(1 mark)**.

HMRC Enquiry

The HMRC item is not a misstatement requiring a journal correction to the financial statements as the outflow cannot be measured reliably **(1 mark)**. However, the directors are required to include a disclosure in the financial statements as the circumstances give rise to a contingent liability which may be material (greater than materiality) and therefore should be disclosed **(1 mark)**.

Total marks available (17 marks)

Overview of question (AAPQ 9)

- This question requires you to prepare a summary of audit misstatements (SAM), using the template you were introduced to in Advantage. You need to include the journal entry in relation to each misstatement, a determination of whether each item is material and whether it has been adjusted by management, and a conclusion.

Topics covered

- Module 9 – Substantive procedures – Part 3

Learning outcomes and performance indicators

- Assess whether items require adjustment in the financial statements and prepare a summary of audit misstatements.

What this question is testing

This AAPQ tests your ability to identify and evaluate audit misstatements, determine whether they have been adjusted by management, assess materiality, and conclude on the impact on the audit opinion.

Tips for tackling this question

- Use the materiality figure given to assess whether each misstatement is material
- The 'Adjusted' column in the SAM should be used to show management's current treatment of the matter, with whether the items is adjusting/non-adjusting discussed in the notes below the SAM
- Your conclusion should include adjusted and unadjusted differences
- Note whether any further adjustments are necessary to allow the auditor to issue an unmodified opinion
- A simplified presentation of the SAM is acceptable and can gain full credit, providing that the key points in relation to the journal entries and assessment of material/adjusted are included.

Where to find support

- **Module 9**: guidance including worked example of SAM on Advantage.

Solution to Question 10 (45 marks)

Requirement 1 – Complete the trade receivable circularisation

Customer	Balance per trade receivables ledger	Balance per trade receivables circularisation	Reason for difference
	£	£	
Airstream Limited	136,402.78	136,402.78	Agreed balance **(1 mark)**
Cirus Limited	3,678.00	$4,839.47	Balance agreed **(1 mark)** in USD **(1 mark)**
Davits Limited	42,378.43		Non-response **(1 mark)**
Flying Fish Limited	20,054.99	20,054.99	Agreed balance, **(1 mark)** but waiting for credit note of £5,432.92 to be issued **(1 mark)**
IAS Limited	145,895.65	132,455.65	Difference **(1 mark)** due to goods sent in error being returned **(1 mark)**
Lifeline Limited	402,111.89	235,945	Difference of 166,166.89 **(1 mark)** due to bank transfer timing **(1 mark)**

Total marks available (10 marks)

Requirement 2 – Design procedures over those balances not yet agreed

1. US dollar balance: (Cirus)

   - Agree the exchange rate used **(1 mark)** to an independent source such as the Financial Times **(1 mark)**
   - Recalculate the translation to £ Sterling **(1 mark)** using the independent rate and agree to value stated by Cirus Limited. **(1 mark)**

2. Non-replies: (Davits)

   - Send a second confirmation request to Davits Limited **(1 mark)** and follow with a phone call if no response then received. **(1 mark)**
   - Perform alternative verification procedures
     i. Agree to post month end remittance advice and bank statement **(1 mark)**
     ii. Agree to pre month end invoice, GDN and customer order **(1 mark)**

3. Credit note due: (Flying Fish)

   - Inspect the mentioned correspondence **(1 mark)** and inspect any post 30 April credit notes issued to Flying Fish Limited. **(1 mark)**
   - Discuss the matter with management and inspect the accounts **(1 mark)** to confirm an appropriate adjustment has been made to reflect the credit note in the accounts. **(1 mark)**

4. Invoices in transit: (Galley)

   - Agree delivery to GDN and invoice raised before 30 April **(1 mark)** to ensure this relates to a timing difference. **(1 mark)**

5. Returned Goods in transit: (IAS)

   - Obtain a copy of invoice (and corresponding purchase order and GDN) **(1 mark)** to confirm that the goods were incorrectly sent to IAS Ltd. **(1 mark)**
   - Agree the receipt of returned goods pre-30 April by inspecting the GRN **(1 mark)** and ensure correctly included in the month end returns provision. **(1 mark)**

6. Balance confirmed at different date: (Jumpstart)

   - Confirm the response balance per 14 May **(1 mark)** to Sailings accounting system at that date. **(1 mark)** Perform procedures between 30 April and 14 May **(1 mark)** detailed in Requirement 3. **(1 mark)**

7. Customer in liquidation: (Keel)

   - Inspect liquidator's correspondence on the recovery of the balance **(1 mark)** and if applicable receipt of funds post year-end per bank statements, **(1 mark)**
   - Agree to allowance for doubtful debt **(1 mark)** recognised in the financial statements. **(1 mark)**

8. Payments in transit: (Lifeline)

   - Agree the electronic payment to Sail Limited's bank statement, **(1 mark)** agreeing that the amount accounts for the difference noted in the trade receivables circularisation. **(1 mark)**
   - Check the date the payment was received per the bank statement **(1 mark)** to identify any cut-off issues, and consider the impact on year-end figures if error in cut-off procedures is identified. **(1 mark)**

Total marks available (30 marks)

Requirement 3 – Design further substantive procedures

Perform testing on balances between 30 April and 31 May – roll-forward procedures (all):

- Obtain a listing of sales in May from the trade receivables ledger and agree to invoices, GDN's and customer orders **(1 mark)**
- Select a sample of GDN's in May and agree these to the related invoice and entry in the trade receivables ledger **(1 mark)**
- Agree cash receipts in the bank statements to the trade receivables ledger **(1 mark)**
- Review the entries in the trade receivables ledger for invoices and cash receipts recorded for unusual items (large and unusual item review) and follow up any relevant items with Sailing's management **(1 mark)**
- Compare revenue per month (including post year end revenue) to the same period in prior years **(1 mark)**

Total marks available (5 marks)

Overview of question (AAPQ 10)

- This question requires you to complete and evaluate a trade receivables circularisation. Start by documenting the responses received and identifying any discrepancies. Then, design appropriate substantive procedures for balances not yet agreed and any additional procedures needed to complete the testing (roll-forward procedures). Approach each requirement methodically, ensuring that your audit evidence is sufficient and appropriate.

Topics covered

- Module 8 – Substantive procedures – Part 2
- Module 9 – Substantive procedures – Part 3

Learning outcomes and performance indicators

- Design tailored substantive procedures in response to findings arising during the audit process.
- Apply substantive procedures.
- Evaluate the findings from substantive procedures.

What this question is testing

This AAPQ tests your ability to apply substantive procedures by performing and evaluating a trade receivables circularisation, identify discrepancies, and design appropriate substantive procedures. It assesses your understanding of audit evidence, external confirmations, and how to respond to exceptions and non-responses.

It is also testing your understanding of roll-forward procedures, as the confirmation responses have been received at 30 April for a year end of 31 May.

Tips for tackling this question

- Clearly document all confirmation responses and discrepancies.
- Use alternative procedures for non-responses, such as agreeing to subsequent cash receipts.
- Consider the implications of any differences and whether they indicate misstatements.
- Ensure your procedures are tailored to the specific issues identified.
- Maintain professional scepticism and evaluate the sufficiency of evidence obtained..

Where to find support

- **Module 8**: guidance on receivables testing and circularisation
- **Module 9**: review worked examples and tutor tips on substantive procedures, including roll-forward procedures

Solution to Question 11 (44 marks)

Requirement 1 – Explain, with examples of relevant opinions, the two types of assurance engagement that could be undertaken for the proposed Nibbles engagement, concluding which would be the most suitable.

Reasonable assurance (1 mark)

This would be an engagement where we would reduce the risk to an acceptably low level in order to give reasonable assurance over whether the controls put in place by Nibbles are functioning correctly and achieving their required outcome as requested by SEPA. **(1 mark)**

The opinion would be a positive one. For example, 'in our opinion, based on work carried out, the controls surrounding compliance with SEPA regulations at Nibbles are functioning correctly in all material aspects.' **(1 mark)**

As a positive opinion is given we would need to perform detailed testing over the controls to be able to reach a conclusion which is likely to be costly. **(1 mark)**

Limited assurance (1 mark)

This type of engagement provides more limited assurance to Nibbles as we would reduce the risk to an acceptable level, but offer a lower level of assurance than a reasonable assurance engagement. **(1 mark)**

The opinion would be a negative one. For example, 'based on the specific and agreed procedures set out in this report nothing has come to our attention that causes us to believe that the controls surrounding compliance with SEPA regulations are not functioning correctly in all material aspects.' **(1 mark)**

We would carry out specific procedures over the controls, but the nature of the testing would be less extensive than under reasonable assurance and therefore less costly.**(1 mark)**

Conclusion

The directors of Nibbles have asked for an opinion, to ensure controls are "functioning correctly and achieving the required outcome". Given the high level of assurance that the directors require in order to assist with business planning and risk mitigation it would point to a positive opinion being required. **(1 mark)** The board has also agreed a flexible amount in their annual budget so there are no apparent cost restrictions **(1 mark)** and therefore a reasonable assurance engagement would be suitable. **(1 mark)**

Total marks available (11 marks)

Requirement 2(a) and (b) – Evaluate the acceptance risks to your firm from accepting this assurance engagement. Recommend suitable actions or safeguards to put in place to mitigate the risks identified.

Requirement 2(a)		**Requirement 2(b)**
Fact (1 mark)	**Evaluation (2 marks)**	**Actions to mitigate risk (2 marks)**
Head of internal audit The head of internal audit is due to go on extended paternity leave and internal audit has been key in the documentation and implementation of the SEPA plan. **(1 mark)**	The absence of the Head of Internal Audit could pose a threat to the availability of the necessary evidence required to evaluate the SEPA action plan **(1 mark)** impacting ability to complete the engagement. **(1 mark)**	Obtain assurance from the board of directors **(1 mark)** that all necessary documentation and personnel will be available to assist with the work required. **(1 mark)** **Or** Ensure a meeting is arranged with the Head of Internal Audit prior to their leave **(1 mark)** in order to obtain reassurance as to the availability of relevant data/documents from an alternative responsible person. **(1 mark)**
Expertise Although we are proposing to engage an expert to aid with assessing pollution levels there are concerns that the team may not understand the technical language used by the expert. **(1 mark)**	A lack of understanding of the language used by the expert may impact the ability of the team to evaluate the results of their work **(1 mark)** and whether it is suitable to place reliance on when forming an opinion over Nibbles corrective action plan. **(1 mark)**	The firm should engage an external resource to provide additional training to the engagement team **(1 mark)** to develop their understanding and awareness of the subject matter and relevant terminology used. **(1 mark)**
Exposure to reputational damage Nibbles management are planning to highlight the firm's assurance report in a TV documentary regarding pollution damage. **(1 mark)**	There is a risk the firm could incur reputational damage **(1 mark)** if future incidents were to occur due to the increased exposure arising from the TV documentary. **(1 mark)**	The firm should discuss plans to highlight the assurance report in the documentary with management **(1 mark)** to ensure that any such disclosure is appropriate and not detrimental to the firm's reputation. **(1 mark)**
Management integrity Prior dealings with the Board suggest that some management lack knowledge of the long term strategy of Nibbles and there are disagreements over business goals and actions to remedy deficiencies in controls. **(1 mark)**	Such disagreements and lack of knowledge **(1 mark)** may make it difficult for the team to gather the required evidence and information on the controls being considered in Nibbles' action plan. **(1 mark)**	Consider the integrity of management, **(1 mark)** and the availability of other evidence on the controls compliance if management cannot be relied upon. **(1 mark)**

Requirement 2(a) Total marks available (12 marks)

Requirement 2(b) Total marks available (8 marks)

Requirement 3 – Evaluate the proposed external expert to confirm whether it is likely that reliance can be placed on their work and identify any further evidence required in order to form a conclusion.

Evaluation of the Expert

We will need to evaluate the competence, capabilities and objectivity of the expert Dr Joe Trout. **(1 mark)**

Competence and capability

Dr Joe Trout appears to be competent as he has a doctorate and a degree in marine science **(1 mark)**, however it is unclear how far this competence extends in relation to SEPA and their requirements over pollution levels **(1 mark)**.

We have also been unable to confirm the nature of his role due to lack of understanding of the technical language used. **(1 mark)**

We do not have any information available to assess any relevant experience of monitoring pollution levels **(1 mark)** and therefore there is a risk that he might not be capable of appropriately assessing whether they are in compliance with SEPA regulations. **(1 mark)**

We would need to clarify the nature of Dr Trout's role and responsibilities **(1 mark)** and whether he has appropriate knowledge regarding pollution levels to make him suitably qualified in assessing this work. **(1 mark)**

We would also need to investigate whether he has been involved in similar assessments in the past and relevant experience in this field. **(1 mark)**

Objectivity

Dr Trout has family members who live nearby and work at Nibbles production facility **(1 mark)** which may present a threat to his objectivity. **(1 mark)**

We will need to clarify the role and position of the family members **(1 mark)** to ensure that they do not have any involvement over the subject matter being assessed. **(1 mark)**

Total marks available (13 marks)

Overview of question (AAPQ 11)

This question is divided into three distinct requirements:

1. Types of assurance engagements
    - Understand the difference between reasonable and limited assurance engagements.
    - Use the scenario to determine which level of assurance is most appropriate.
    - Link your recommendation to the engagement context
2. Acceptance risks and safeguards
    - Identify risks to the assurance firm from accepting the engagement.
    - Evaluate each risk and recommend appropriate safeguards or mitigating actions.
    - Consider different types of risk including ethical and reputational risks.

3. Evaluation of external expert

- Assess the competence, capability, and objectivity of the proposed expert.
- Identify further evidence required to confirm whether reliance can be placed on the expert's work.

Topics covered

- Module 3 – Audit acceptance and continuance decisions
- Module 5 – Specific risk areas and the impact on the audit approach
- Module 12 – Other assurance engagements and related services

Learning outcomes and performance indicators

- Evaluate the acceptance and continuance risks presented by an audit engagement.
- Design appropriate safeguards to respond to acceptance threats.
- Evaluate information on understanding the entity to identify risks of material misstatements in relation to the auditing standards on using the work of an expert.
- Explain the nature of other assurance services, related services and other services provided by professional accountants and recommend suitable types of engagements.
- Design and evaluate the distinct considerations and requirements when undertaking engagements other than a financial statement audit.

What this question is testing

This AAPQ tests:

- your understanding of the differences between levels of assurance and how to recommend the appropriate one.
- your ability to identify and evaluate risks associated with accepting an assurance engagement.
- your ability to assess the suitability of an external expert and determine what further evidence is required.

Tips for tackling this question

- Discuss both limited and reasonable assurance recommending which would be most appropriate, with clear justification for your reasoning.
- **Note** – this question asked specifically the two types of assurance engagement, and so it was appropriate to discuss reasonable and limited assurance. Alternatively, an assessment question may not specify that assurance is required and ask instead for you to explain types of non-audit engagements more generally. In such an instance it is appropriate to discuss agreed-upon procedures (a non-assurance engagement) in addition to reasonable and limited assurance.
- Include a detailed evaluation of "why" each risk you have identified poses an acceptance risk to the firm
- Mitigating actions should be tailored to each risk and should be practical
- When assessing the expert, break down your evaluation into competence, capability, and objectivity.

Where to find support

- **Module 3**: review audit acceptance decisions with a focus on risk evaluation and safeguards
- **Module 5**: review Lesson 5 which contains details on using the work of an expert
- **Module 12**: outlines levels of assurance

Solution to Question 12 (10 marks)

Requirement 1: Recommend a level for overall group materiality and trivial threshold, explaining your reasons

Note: Reasonable approaches reaching a slightly different recommended figure may be awarded credit, provided that the underlying judgements are clearly justified and explained.

As SJK is in a standard industry and is a profit-making group both in 20X3 and 20X2 **(1 mark)**, the appropriate benchmark for calculating materiality is profit before income taxes. **(1 mark)**

The appropriate range for materiality is therefore 5%-10% of profit before income taxes. **(1 mark)**

Group materiality has been calculated as follows:

Annualised profit before income taxes is used as the figure **(1 mark)** is largely in line with budget and prior year. **(1 mark)**

Annualised 20X3 profit before income taxes: £4,854kx12/9 = £6,472k. **(1 mark)**

Materiality range £324k to £647k. **(1 mark)**

Overall group materiality has been set at £340k, at the lower end **(1 mark)** of the threshold. This is because it is the first year the firm has audited the group. **(1 mark)**

Trivial threshold has been set at 5% of group materiality, £17k. **(1 mark)**

Total marks available (10 marks)

Overview of question (AAPQ 12)

- This question requires you to calculate group materiality and trivial thresholds by using appropriate benchmarks and ranges. Justify your selection based on audit planning principles.

Topics covered

- Module 4 – Audit planning
- Module 11 – Group audits

Learning outcomes and performance indicators

- Recommend appropriate materiality figures and consider the application of materiality to the audit process

What this question is testing

This AAPQ tests your ability to calculate materiality.

Tips for tackling this question

- Follow the five steps for setting materiality as discussed within Module 4 Lesson 4
- Justify your materiality calculation using appropriate benchmarks and ranges. Include rationale for your choices.

Where to find support

- **Module 4**: review five step process for setting materiality and guidance on trivial thresholds.

Solution to Question 13 (48 marks)

Requirement 1 – Evaluate the results of the audit data analytics exercise

(1) Audit risk identification and evaluation	(2) Substantive procedure
CH-52 This was last used in production in March 20X1 and is now passed its expiry date of December 20X2. **(1 mark)** The item can no longer be used in manufacturing and should not be included in inventory. **(1 mark)** Therefore, inventory is currently overstated. **(1 mark)**	Inspect inventory records to confirm if still held by the company at 31 December 20X3 **(1 mark)** and, if so, confirm that it has been provided for in the year end financial statements. **(1 mark)**
GP-420 / GP-420o The last delivery of GP-420 has been recorded as GP-420o following a rebranding of the product by the supplier and this item will now be used for all future production. **(1 mark)** There is a risk that the remaining stock of GP-420, which is still suitable for production, will not be used **(1 mark)** within its expiry period and become obsolete. **(1 mark)**	Inspect production records for October to December (and if applicable post year-end) **(1 mark)** to confirm if remaining stock of GP-420 has been used for production. **(1 mark)** Confirm with management any plans for the remaining inventory of GP-420 if not yet used during production. **(1 mark)**
FA-c4 Fresh apple product has an expiry date within one month of last receipt into the warehouse meaning it has a very short shelf life. **(1 mark)** In addition, the budgeted usage has already been achieved therefore it may not be used in the near future. **(1 mark)** There is a risk of wastage if FA-64 cannot be used **(1 mark)** and inventory may be overstated. **(1 mark)**	Inspect year-end inventory records **(1 mark)** to confirm that all inventory with an expiry date of 10 October 20X3 has been used in production prior to year end. **(1 mark)** Inspect year-end inventory records to confirm that any expired unused inventory **(1 mark)** has been written off within the financial statements. **(1 mark)**
Tropical The finished goods have a selling price of £2,150 which is less that the cost price of £2,322. **(1 mark)** The inventory is overstated **(1 mark)** as the items should be held at the lower of cost and NRV. ((**1 mark**)	Inspect post year-end sales for Tropical inventory **(1 mark)** to confirm current selling price and that NRV is greater than cost. **(1 mark)** Where NRV is less than cost, **(1 mark)** ensure items have been included in the inventory provision. **(1 mark)**
Pineapple and lime There have been no sales of this stock since 25/3/20X3 **(1 mark)** and the customer has confirmed that they will not be purchasing any more due to poor sales in stores. **(1 mark)** There is a risk that this juice cannot be sold to another customer resulting in no further market for the inventory **(1 mark)** and a provision being required. **(1 mark)**	Inspect correspondence with customer **(1 mark)** to confirm if there is any contractual obligation to purchase the remaining items. **(1 mark)** Enquire with management of any plans to sell/dispose of the remaining inventory. **(1 mark)**

(a) Total marks available (17 marks)

(b) Total marks available (16 marks)

Requirement 2 – Analyse which balances should be included in trade receivables circularisation

Birch Retailers plc – £6,940

Birch Retailers Ltd is one of Lovely Drinks's largest customers **(1 mark)** and has continued to make significant sales during the CY generating 11% of revenue. **(1 mark)** As their balance at 30 September is unexpectedly low, there is a risk that this balance may be understated and we should therefore include within our sample for testing. **(2 marks)**

Fresh Fruits Deluxe Ltd – £27,543

Fresh Fruits Deluxe Ltd has been cited to be in financial difficulty and have unpaid invoices past the credit terms of 60 days. **(1 mark)** There may be issues concerning recoverability **(1 mark)** of this balance therefore should be included within our sample. **(1 mark)**

Mayburn Farm Shop – (£1,590)

Mayburn Farm Shop has a negative balance per the report. **(1 mark)** This may be a result of the company being a customer as well as a supplier **(1 mark)** and purchases and sales being offset against each other. **(1 mark)** Therefore, this balance should be selected to confirm the correct amount due by Lovely Drinks. **(1 mark)**

Barnbury Food Group plc – £75,980

The customer is one of Lovely Drinks's largest customers. **(1 mark)** The customer is also on a payment plan due to being in some financial difficulty and has invoices outstanding past the normal credit terms (60+ days). **(1 mark)** This may indicate a risk over recoverability **(1 mark)** of the balance and should be selected. **(1 mark)**

Total marks available (15 marks)

Overview of question (AAPQ 13)

- This question requires you to evaluate audit risks for inventory and design appropriate substantive procedures. Start by identifying the key risks associated with inventory considering the information in both Appendix 1 and Appendix 2. Then, for each risk, design tailored substantive procedures that respond directly to the identified risk.
- Finally, use sample selection techniques to select the trade receivables balances you would like to select for testing via a trade receivables circularisation.

Topics covered

- Module 4 – Audit planning
- Module 8 – Substantive procedures – part 2
- Module 9 – Substantive procedures – part 3

Learning outcomes and performance indicators

- Evaluate the information collected about an entity to identify the significant risks of material misstatement in the financial statements
- Plan an approach to gathering sufficient appropriate audit evidence in response to identified risks of material misstatement
- Design tests of detail, including computer assisted audit techniques (CAATs) and audit data analytics (ADAs)
- Explain the sample selection techniques available to an auditor and select appropriate items to test as part of a sample.

What this question is testing

This AAPQ tests your ability to

- Identify and evaluate audit risks related to inventory by assessing the results of audit data analytics, which may highlight exceptions which contradict the supporting information
- Design appropriate substantive procedures in response to identified risks
- Select relevant items to test as part of a trade receivables sample

Tips for tackling this question

- Consider whether the ADA results highlight any anomalies which could indicate an audit risk
- Consider factors such as the possibility that inventory has become obsolete, is damaged or is being carried at the incorrect value
- Tailor procedures to the specific facts of the scenario
- When designing each substantive test ensure you include: verb (eg enquiry, inspection, recalculation, confirmation), population, evidence and activity.
- Remember that enquiry alone will not provide sufficient, appropriate evidence, and so enquiry procedures will be worth 1 mark only.
- Consider whether items may require to be sampled based on their value or on qualitative risk factors

Where to find support

- **Module 4**: review guidance on assessing audit risks
- **Module 8**: refer to lesson on inventory testing and valuation
- **Module 9**: review guidance on sample selection

Solution to Question 14 (45 marks)

	(a) (i) Identify key control	(a) (ii) Evaluate why a key control	(b) Test of control
1	Physical deliveries are agreed to purchase order ('PO') with goods prohibited from being checked into inventory if any differences are investigated. **(1 mark)**	This reduces the risk of Pharmalux accepting inventory and recognising liability for goods not ordered, **(1 mark)** which then may not be used for production and require to be written off in the financial statements. **(1 mark)**	Attempt to scan (reperform) an item already received and scanned by Pharmalux, **(1 mark)** confirming that this is flagged as an error and no GRN is created. **(1 mark)** OR Inspect the system for any scanned items showing as errors **(1 mark)** and ensure that these are investigated and resolved by the warehouse manager **(1 mark)**
2	Goods are inspected by quality control ('QC') prior to acceptance **(1 mark)**	This reduces the risk of accepting damaged or spoiled inventory **(1 mark)** which would be unsuitable for production and require to be written off in the financial statements. **(1 mark)**	Observe the QC process undertaken **(1 mark)** and confirm, through observation, that QC occurs prior to the goods being accepted as available for manufacturing use within the Enterprise Resource Planning ('ERP') system **(1 mark)**
3	The cost of raw materials transferred to manufacturing is automatically updated after scanning items and completion of the bill of materials ('BOM') by the warehouse assistant **(1 mark)**	This reduces the risk of inaccurate amounts being recorded as work in progress **(1 mark)** in the system and inventory being mis- classified. **(1 mark)**	Observe the completion of the BOM by the warehouse assistant and **(1 mark)** inspect the inventory system records to confirm raw materials selected are classified correctly as work in progress. **(1 mark)**
4	The production manager confirms quantities of finished goods before signing of the production order transferring work in progress to finished goods **(1 mark)**	This reduces the risk that inventory records of finished goods reflect completed inventory not yet ready for sale **(1 mark)** which could result in misstatement. **(1 mark)**	For a sample of items transferred from work in progress to finished goods, **(1 mark)** confirm that there is a corresponding production order signed off by the production manager. **(1 mark)**
5	A first-in-first-out ('FIFO') system of inventory management is used in the ERP system within the warehouse. **(1 mark)**	Use of a FIFO system ensures that inventory is despatched in order of manufacture, **(1 mark)** so the remaining inventory is less likely to become obsolete and require to be written off. **(1 mark)**	Perform audit data analytic procedures to analyse despatch dates compared to manufacture dates **(1 mark)** and identify any unusual delays or items being despatched out-with expected timetables. **(1 mark)**
6	An independent check of the medicines is performed between the physical items awaiting despatch, the customer order and the goods delivery note ('GDN'). **(1 mark)**	This reduces the risk of incorrect items being despatched which could result in inventory returns **(1 mark)** and misstatements in records of inventories held. **(1 mark)**	Observe the independent check being undertaken **(1 mark)** to ensure that the correct medicines are sent to the correct customers in line with the agreed order. **(1 mark)**

	(a) (i) Identify key control	(a) (ii) Evaluate why a key control	(b) Test of control
7	Access to the warehouse is controlled by electronic key cards that are programmed to only allow access to authorised staff members, with some finished medicine subject to a second level of entry controls. **(1 mark)**	This reduces the risk of misappropriation of inventory items from the warehouse by unauthorised persons. **(1 mark)** If items were stolen, but still recorded within inventory, then inventory could be overstated. **(1 mark)**	Attempt to gain entry (reperform) to the warehouse and the location of some finished medicine within **(1 mark)** confirming that electronic key card and codes, where relevant, are required to gain access **(1 mark)**
8	Consignment inventory is held in a separate area from inventory owned by Pharmalux **(1 mark)**	This reduces the risk that consignment inventory is counted by Pharmalux staff during inventory counts **(1 mark)** which could result in an overstatement of the inventory balance. **(1 mark)**	Inspect the separate consignment inventory area **(1 mark)** to ensure it is segregated from Pharmalux inventory **(1 mark)**
	Total marks available (8 marks)	**Total marks available (16 marks)**	**Total marks available (16 marks)**

c) The audit team is intending to place reliance on inventory controls in the audit. This will mean that the amount of substantive testing can be reduced **(1 mark)** and the team may use mainly substantive analytical review during the substantive testing phase, if controls are deemed to be operating effectively **(1 mark)**.

However, if (following the results of controls testing) the controls are not found to be operating effectively throughout the year, the audit team may decide to extend their test of controls or increase their substantive testing. **(1 mark)** They may take a fully substantive approach to the audit with increased test of detail procedures over the inventory balance. **(1 mark)**

If there are significant deficiencies in inventory controls found during controls testing, these will be communicated to those charged with governance via a management letter. **(1 mark)**

Total marks available (5 marks)

Overview of question (AAPQ 14)

- This question requires students to identify key controls within an inventory system, evaluate their significance for the external audit, design tests of control to assess their operating effectiveness, and explain how the audit approach may change depending on the results of control testing.
- Key controls are those which are useful in preventing or detecting and correcting material misstatements. They must be designed effectively, therefore any poorly designed controls should not be identified as key controls.

Topics covered

- Module 6 – Internal controls testing

Learning outcomes and performance indicators

- Evaluate the client's overall control and IT environment and consider the impact on the audit approach
- Evaluate why internal controls would be considered key controls for the purpose of the external audit
- Design audit procedures, including the use of computer-assisted audit techniques and audit data analytics, to test the operating effectiveness of key internal controls.
- Plan an approach to the audit following the results of controls testing.

What this question is testing

This AAPQ tests your:

- ability to identify and evaluate key controls relevant to inventory Design appropriate substantive procedures in response to identified risks
- understanding of how controls prevent, detect, or correct misstatements
- ability to design reliable tests of control using appropriate audit techniques
- ability to assess how control testing results influence the audit strategy

Tips for tackling this question

- Only identify key controls which are designed effectively and which are relevant for preventing, or detecting and correcting, material misstatements.
- Structure your answer clearly, separating each control, its evaluation and the test of control. A three-column table may be helpful here.
- When designing tests of control, use verbs such as “inspect”, “observe”, “reperform”, and “enquire”.
- Explain how the audit approach would change depending on whether controls are effective. Consider how this would impact on the other stages of the audit e.g. substantive testing
- Use the mark allocation to help guide how many weaknesses you should identify – eight.

Where to find support

- **Module 6**: review guidance control design and testing techniques

Solution to Question 15 (20 marks)

Rotation of audit partners

a) The same partner has had this client as part of their portfolio for the past 20 years **(1 mark)**. In line with the Ethical Standard, no partner should act as audit engagement partner for a listed company for more than five years **(1 mark)** as this constitutes a threat to independence **(1 mark)**

b) If we choose to continue with the engagement a new audit partner **(1 mark)** should be appointed and the previous partner should have no involvement in the engagement. **(1 mark)**

Audit partner family relationship with key client staff

a) The current audit partner is the brother of the finance director. **(1 mark)** Such close family ties are considered to be a potential threat to independence **(1 mark)** and could be seen to have impacted the objectivity of the audit partner. **(1 mark)**

b) The new audit partner should have no close family ties to the client **(1 mark)** and we should also disclose the previous partner's close family tie to our firms ethics partner. **(1 mark)**

Amendment to vehicle tachographs

a) The former transport manager of Dalriada has made accusations that drivers have been instructed to amend vehicle tachographs **(1 mark)**. The auditor would not wish to be associated with such illegal activity, **(1 mark)** if proven true, as it may potentially damage the audit firm's reputation. **(1 mark)**

b) A full assessment of risk regarding the former transport manager's statement and its factual accuracy will be required **(1 mark)** before concluding whether to continue with the engagement. **(1 mark)**

Listing

a) Dalriada is an LSE listed company and therefore will likely be a higher profile engagement for the firm. **(1 mark)** The listing increases the risk of public scrutiny **(1 mark)** and reputational damage through association with the firm. **(1 mark)**

b) We should consider whether we are willing to continue with the additional public scrutiny and potential reputational risks of being associated with a listed company, **(1 mark)** and if the risk is considered to be too high, the firm should not continue with the engagement. **(1 mark)**

Requirement (a)Total marks available (12 marks)

Requirement (b)Total marks available (8 marks)

Overview of question (AAPQ 15)

- This question requires you to evaluate multiple threats (including ethical issues) arising from the continuance of a long-standing audit engagement. You should identify each threat, explain its implications for auditor independence and objectivity, and recommend appropriate safeguards or actions. Structure your answer clearly by addressing each threat separately and applying the FRC Ethical Standard and ICAS Code of Ethics where appropriate.

Topics covered

- Module 1 – Professional ethics
- Module 3 – Audit acceptance and continuance decisions

Learning outcomes and performance indicators

- Evaluate assurance engagements to identify and explain potential ethical implications.
- Explain the implications of ethical threats to auditor independence and objectivity.
- Apply safeguards to ethical dilemmas
- Explain an auditor's professional requirements in relation to acceptance and continuance of an audit engagement.
- Evaluate the acceptance and continuance risks presented by an audit engagement.
- Design appropriate safeguards to respond to acceptance threats.

What this question is testing

This AAPQ tests your ability to identify and evaluate ethical threats in a real-world audit scenario. You must demonstrate understanding of the FRC Ethical Standard, including rules on partner rotation, family relationships, and reputational risks. You are also expected to recommend appropriate safeguards or actions to reduce these threats to an acceptable level.

Tips for tackling this question

- Use ethical terminology precisely (eg 'self-interest threat', 'familiarity threat', 'intimidation threat')
- Refer to specific rules from the FRC Ethical Standard, such as the five-year rotation rule for listed entities
- Consider both actual and perceived threats to independence
- Recommend practical safeguards such as partner rotation, ethics partner consultation, and engagement quality reviews

Where to find support

- **Module 1**: review guidance on ethical threats and safeguards
- **Module 3**: review sections on evaluating risks and actions for continuance decisions

Solution to Question 16 (29 marks)

Requirement 1

As High Five has experienced trading difficulties in the financial year and has a number of issues surrounding the going concern status of the company, for example, trading close to its overdraft limit, amounts owed to the parent company and projected losses for the following financial year, we will have to perform some additional procedures to enable us to obtain assurance over the appropriateness of management's use of the going concern basis.

- Evaluate the method used by management to perform the going concern assessment, confirming it is appropriate to the applicable financial reporting framework. **(1 mark)**
- Evaluate the relevance and reliability of data used by management to assess going concern **(1 mark)** and evaluate the appropriateness and consistency of the assumptions made. **(1 mark)** The evaluation should include:
  - Review of budgets, specifically, the reappraised budgets, and any cash flow forecasts; **(1 mark)**
  - Sensitivity analysis on both budget and forecasts; **(1 mark)**
  - Review of cash-flow projections for the coming period **(1 mark)** to ascertain when the overdraft will be brought back below the overdraft limit; **(1 mark)**
- Evaluate management's plans or future actions relating to the going concern assessment **(1 mark)** and any other additional facts of information available since you made the initial going concern assessment **(1 mark)** This should include:
  - Confirmation from the parent company **(1 mark)** that it is willing to provide security for the overdraft; **(1 mark)**
  - Evidence from the parent company of its continued financial support **(1 mark)** including evidence that it is able to provide financial support if required; **(1 mark)**
  - Confirmation, when re-negotiated, of the bank's overdraft facility being in place for the company **(1 mark)** and any restrictions, for example, covenants, placed on the company; **(1 mark)**
  - Discussion with management and the board of directors **(1 mark)** as to the factors leading to the current year loss and any policies implemented to reverse the situation for the following financial year; **(1 mark)** and
  - Review of post year end management accounts **(1 mark)** to confirm financial performance to date. **(1 mark)**
- Request a letter of representation, the content of which we will discuss with management prior to issue and could cover any future plans and the feasibility of such plans. **(1 mark)**

Total marks available (19 marks)

Requirement 2

Where High Five's financial statements are prepared on a going concern basis, there may be a material uncertainty which may cast doubt over going concern. For example, the requirement for continued support from the parent company and re-negotiating the overdraft **(1 mark)** which could have an impact on the going concern assumption. **(1 mark)**

Inadequate disclosure

The directors need to adequately disclose the events and conditions that cast doubt over going concern and management's plans to deal with these events and conditions in the financial statements. **(1 mark)** If they do not do this, there is a material misstatement in the financial statements with regards to disclosures. **(1 mark)** Issues concerning going concern are often considered to be pervasive, as they are not confined to specific elements, accounts or items of the financial statements. **(1 mark)** If the audit team consider this matter to be pervasive, this will result in the issuing of an adverse opinion. **(1 mark)** If not considered to be pervasive, the opinion will be qualified. **(1 mark)**

Adequate disclosure

However, we may agree that the financial statements should be prepared on a going concern basis even where a material uncertainty affecting the preparation of the accounts on a going concern basis exists as long as it is adequately disclosed in the financial statements. **(1 mark)** If this is included, we would issue an unmodified opinion **(1 mark)** and include commentary within the 'matters relating to going concern' section of the audit report which would refer to the uncertainty. **(1 mark)**

Total marks available (10 marks)

Overview of question (AAPQ 16)

This question is divided into two requirements:

1. Design further audit testing to assess the appropriateness of the going concern assumption.
2. Evaluate the impact on the audit opinion and report if a material uncertainty exists in relation to going concern.
    - Start by identifying the indicators of going concern risk in the scenario. When designing further audit testing you should apply knowledge of ISA (UK) 570 and the "standard" tests which auditors may perform in relation to going concern. You will then need to consider the impact of the different circumstances surrounding a material uncertainty and the impact which these may have on the audit opinion and audit report. Structure your answer clearly, addressing each requirement separately.

Topics covered

- Module 10 – Completion and reporting

Learning outcomes and performance indicators

- Evaluate and advise on management's going concern assessment.
- Evaluate audit findings and, based on the evidence collected, recommend an appropriate audit report, including the audit opinion and any relevant additional reporting areas.

What this question is testing

This AAPQ tests your:

- ability to design audit procedures in response to going concern indicators.
- understanding of the auditor's responsibilities under ISA (UK) 570.
- ability to evaluate the impact of material uncertainties on the audit opinion and report.
- ability to distinguish between types of modified opinions and when to apply them.

Tips for tackling this question

- Make use of your permitted materials: review ISA (UK) 570 for details of the standard tests which the auditor would perform in relation to management's going concern assessment.
- Include tailored tests drawing on scenario information to increase your mark.
- Clearly distinguish between scenarios with adequate and inadequate disclosure.
- Remember to consider material uncertainty in relation to going concern, rather than only situations where the going concern assumption is clearly correct or incorrect

Where to find support

- **Module 10**: review sections in Lessons 1 and 5 detailing going concern procedures and audit opinion modifications. In particular refer to the table which details the impact on the audit report of different conclusions in relation to going concern

Solution to Question 17 (48 marks)

Requirement 1 – Analytical review

Domestic division – Revenue and gross margin

Domestic division revenue has exceeded both budget and prior year.

This may be due to the sales of the new eco-friendly machines which have performed better than expected and attract premium prices. **(1 mark)**

Furthermore, staff are incentivised to sell the new products and this may indicate that sales staff have offered discounts for the domestic business in excess of planned amounts **(1 mark)** in order to achieve sales targets at the expense of gross margin. **(1 mark)** There is a risk that sales are overstated in order to meet incentive targets. **(1 mark)**

The budgeted gross margin for domestic sales was significantly higher than the actual margin achieved, which is more in line with the prior year margin.

This appears unusual given that overall domestic sales have performed well and there has been high demand for new eco-friendly lawnmowers which carry a higher margin **(1 mark)**. This may be a result of domestic sales made as part of packages to commercial customers being recorded as commercial sales **(1 mark)** while the cost of sales is still retained within domestic figures resulting in a decreased margin. **(1 mark)**

Commercial division

Commercial division continues to be the largest sales generator of the business. However, revenue is down on budget and prior year.

The reduction in revenue is expected to be in part due to reduction in spending by key customers including councils **(1 mark)** and the delay, in part, of a large customer order of £200,000. **(1 mark)**

As the terms of the sale for the delayed order are payment on full despatch of the order **(1 mark)** there is a risk that revenue for items despatched is not accrued and recognised at the year end. **(1 mark)**

Gross margin in the commercial division has been maintained at around 13% and is in line with prior year and budget.

As previously highlighted, due to reduced sales, prices have had to be reduced through discounting, **(1 mark)** therefore we would expect gross margin to have reduced. **(1 mark)** This requires further investigation and may indicate a possible understatement of cost of sales **(1 mark)** or overstatement of closing inventory. **(1 mark)**

Parts and Servicing division

The parts and servicing division revenue has increased from the prior year but is in line with budget.

The increase may be attributable to an increase in spending by councils on parts and servicing following decreased purchases of commercial machinery. **(1 mark)**.

Gross margin has increased compared to budget and prior year.

This is unusual given that the company has been maintaining consistent margin levels for this division. **(1 mark)** This may indicate a risk of understated cost of sales **(1 mark)** and overstatement of closing inventory. **(1 mark)**

Property, Plant & Equipment ('PPE')

PPE has increased by £480,000 against the prior year and is £85,000 above budget.

An increase of £400,000 was forecast as a result of capitalised refurbishment costs for the new showroom in the North of England. **(1 mark)** In addition, advised during the prior year audit that £50,000 of refurbishment expenses were to be incurred this year and the increase against budget may indicate a misallocation refurbishment expense. **(1 mark)**

There is a risk that PPE may be overstated. **(1 mark)**

Inventory

Inventory days are significantly higher than budget and prior year.

This may be partly due to the delayed customer order of £200,000 which was budgeted to be completed in November 20X8 but is only 50% complete. **(1 mark)** However, management has invested in new inventory lines for domestic markets and made no provision for older model inventory **(1 mark)** which may be held at an amount in excess of its net realisable value. **(1 mark)**

There is a risk that some inventory in the company may be overstated and held at amounts above net realisable value without adequate provision. **(1 mark)**

Trade receivables

Trade receivable days have remained consistent with prior year and are marginally higher than budget. The company offers credit terms between 30 and 45 days due to its varied sales mix **(1 mark)** and the consistent margin is expected to be a result of regular monitoring by its debt management team. **(1 mark)**

Working capital

The company is nearing its overdraft limit of £500,000 and the company is in danger of breaching its loan covenant (current ratio 1.22:1 against required current ratio of 1.1:1). **(1 mark)**

The deteriorating cash position of the company, together with the covenant risk and the required loan repayment in November 20X9, may indicate that there is a potential going concern issue. **(1 mark)**

Total marks available (30 marks)

Requirement 2 – Additional audit risks

1. Existence of inventory

The parts and servicing division is not undertaking a full year-end inventory count, but rather counting inventory on a cyclical basis to ensure all items are counted at least once during the year. **(1 mark)** This process will result in the company having greater dependency on the accuracy of such procedures and the lack of a full count at year end may result in a risk of either under or overstatement at the year-end **(1 mark)** due to counts being incomplete or inventory missing. **(1 mark)**

Furthermore, inventory for parts and servicing includes a large volume of small high-value parts. **(1 mark)** Given the nature of the inventory there is a higher risk of misappropriation of assets **(1 mark)** and the year-end balance not reflecting actual inventory in hand. **(1 mark)**

2. Impairment of property, plant and equipment

The company has incurred significant expenditure of £400,000 on its new showroom. However, sales from the new showroom have fallen below expectations. **(1 mark)** There is a risk that the capitalised refurbishment expenditure will not generate sufficient future economic benefits **(1 mark)** and property, plant and equipment is impaired. **(1 mark)**

3. Understatement of provisions arising from planning dispute

Hobson has received a complaint from a council planning department regarding alleged non-compliance with the terms of the planning consent resulting in damage to an adjacent greenfield site. **(1 mark)** If it is probable that remedial landscaping work will be required to comply with the building planning consent **(1 mark)** then a provision for the cost will need to be recognised within the financial statements. **(1 mark)**

4. Manipulation of results

Hobson has increased its debt funding this year relying on a bank term loan which is subject to compliance with a current ratio covenant. In addition, it is nearing its overdraft limit and the overdraft is due for renewal in 20X9. **(1 mark)** These factors, together with the poor performance against budget, **(1 mark)** results in an increased risk of manipulation by management and so increases the risk within the audit. **(1 mark)**

5. Classification of new bank loan

The company has obtained loan funding for the first time in order to fund new capital expenditure on its showroom and this has been classed as a long-term liability in the management accounts. **(1 mark)** There is a risk that the company fails to account for this correctly **(1 mark)** and misclassifies amounts due within a year and those due after one year. **(1 mark)**

Total marks available (18 marks)

Overview of question (AAPQ 17)

- This question requires you to perform a planning analytical review using audit data analytics (ADA) and scenario-based information. You must calculate an expectation for revenue and evaluate the deviation against actuals. Then, critically assess the ADA results and identify audit risks (e.g. potential overstatement or understatement). Structure your answer clearly by separating calculations from evaluation and use audit terminology precisely.

Topics covered

- Module 4 – Audit Planning

Learning outcomes and performance indicators

- Evaluate the results of planning analytical review findings, including calculating an expectation for key figures in the financial statements
- Evaluate the information collected about an entity to identify the significant risks of material misstatement in the financial statements.

What this question is testing

This AAPQ tests your ability to:

- apply planning analytical review techniques to a real-world scenario.
- use audit data analytics to identify and evaluate audit risks.
- calculate expectations and assess deviations.
- exercise professional judgement and scepticism in interpreting financial data.

Tips for tackling this question

- Start by calculating a clear expectation using the scenario data. Consider the subscriptions and transaction fees revenue steams separately before combining these.
- State all of your assumptions and show all of your workings.
- Compare actuals to expectations and quantify the deviation.

- For the second requirement, consider both the results of the ADA exercise and the calculations you performed in requirement 1.
- Use the ADA results to identify unusual trends and potential misstatements.
- Evaluate each item critically and link it to audit risks (eg consider both potential understatement and overstatement)
- This is a long question so use bullet points or headings to structure your answer

Where to find support

- **Module 4**: review sections on planning analytical review, audit risk assessment and ADA techniques

Solution to Question 18 (30 marks)

Requirement 1- Attendance at perpetual inventory counts

Central Warehouse

The warehouse has the highest inventory value of the company and is material, with the largest number of product lines. **(1 mark)**. In addition, we know that there have been changes in the staff during the year (via the IAD findings) which means that there may be a lack of experience amongst the team carrying out the counts. **(1 mark)** This increases the risk of errors occurring and therefore of misstatement of inventories. **(1 mark)**

We also understand from the IAD report that inventories movements were not stopped during the inventory counts **(1 mark)** which again increases the risk of misstatement and may also increase the risk of errors in cut-off. **(1 mark)** Taking these facts together, we should attend a sample of the warehouse counts **(1 mark)**.

Kensington

Although the value of inventory at Kensington it is not material it has the highest inventories value per product line (at £5,589 per product line) indicating that the higher value items are at this store. **(1 mark)** With the proximity of the value of inventory held to performance materiality **(1 mark)** there is an increased risk of a material misstatement if recorded incorrectly. **(1 mark)** Furthermore, IAD did not attend this store during the year. **(1 mark)** Therefore, we should attend this count. **(1 mark)**

Liverpool

The inventory value at Liverpool is material with the second largest number of product lines. **(1 mark)** This is a new store that was opened in the year **(1 mark)** and this fact alone increases the risk of error as procedures at the store will be less well-established as a result. (**(1 mark)** This store was reviewed by IAD in the year, however, this review was carried out by the most junior member of the IAD team. **(1 mark)** Although we are comfortable with the quality of the IAD team, it is unusual for such a high-risk activity to be undertaken by the most junior member of the team and it is also unusual that, at a new store, there were no findings at all. **(1 mark)** Therefore, we should attend this count. **(1 mark)**

Inverness

The approximate value of inventory at Inverness is not material. **(1 mark)** However, two moderate findings were reported by the IAD around documentation of instructions and the results of inventory counts. **(1 mark)** This is a key issue as this limits the evidence available to us for audit testing **(1 mark)** and could have implications for other areas of our audit. **(1 mark)** Therefore, we should attend this count. **(1 mark)**

Total marks available (22 marks)

Requirement 2 - Reliance on Internal Audit Department

- The department is relatively independent, reporting directly into the Audit Committee on a quarterly basis. **(1 mark)** The Audit Committee also are responsible for setting the remuneration of the IAD department members, further enhancing independence; **(1 mark)**
- The team is well-qualified with all three of the key members of staff being professionally qualified accountants, although none are member of the Institute of Internal Auditors ('IIA'). **(1 mark)** It is unclear whether the department Director is professionally qualified but with the three members of staff who will be carrying out the bulk of the actual internal audit work all having a professional qualification, this will be sufficient; **(1 mark)**
- The team are all experienced (with the exception of the trainee) with relevant experience in a similar environment or indeed at PTL itself; **(1 mark)**
- The work performed is supervised and workpapers are reviewed, with reports written being actioned by management; **(1 mark)** and

- On the negative side, there is no IT specialist (the trainee does have some relevant training, but not experience) which is a concern for a company that is heavily reliant on IT. **(1 mark)**

In conclusion, we should be able to rely on the work of IAD, given their qualifications and experience, backed up by their independence within PTL. **(1 mark)**

Total marks available (8 marks)

Overview of question (AAPQ 18)

This question is divided into two distinct requirements:

1. Attendance at inventory counts
   - Evaluate which inventory locations should be attended by the audit team.
   - Consider materiality, risk of misstatement, and internal audit findings.
   - Justify your selections using audit planning principles.
2. Reliance on internal audit
   - Assess the structure, independence, competence, and quality of PTL's internal audit department.
   - Conclude whether reliance can be placed on their work for external audit purposes.

Topics covered

- Module 4 – Audit planning
- Module 5 – Specific risk areas and the impact on the audit
- Module 6 – Internal Control Testing

Learning outcomes and performance indicators

- Plan an approach to gather sufficient appropriate audit evidence in response to identified risks of material misstatement
- Evaluate information on understanding the entity to identify risks of material misstatements in relation the auditing standards on using the work of internal audit
- Plan the approach to collect sufficient appropriate audit evidence in relation to the auditing standards on using the work of internal audit

What this question is testing

This AAPQ tests your:

- ability to apply audit planning principles to inventory count attendance.
- understanding of how to evaluate internal audit departments.
- ability to apply professional judgement and scepticism in planning audit work.

Tips for tackling this question

- Refer to performance materiality and other relevant information given in the question when evaluating inventory locations.
- Justify attendance decisions with reference to risk factors and internal audit coverage.
- Note that the question asks only for your reasons for the inventory counts the team **should** attend – therefore do not waste time discussing the counts which should not be attended.
- When assessing internal audit, break down your evaluation into independence, competence, and quality.
- Include a conclusion regarding whether reliance can be placed on the internal audit department of the purposes of the external audit.

Where to find support

- **Module 4**: review guidance on audit risk evaluation
- **Module 5**: consider detail given on internal audit in Lesson 6

Solution to Question 19 (50 marks)

Requirement 1: Information for inclusion in Audit Strategy Memorandum regarding Inventory Risks

Valuation of inventory – global risk

Overall year-end inventory is forecast to be £3.55M, which is £730,000 higher than the year-end budget and £920,000 higher than the prior year end **(1 mark)**. Magma has developed new products during the year and this increase may indicate that there is a build-up of raw materials and finished goods. **(1 mark)** There is, therefore, a greater risk of items remaining in inventory that are no longer used in products or products that are now obsolete **(1 mark)** and the overall value of inventory may be overstated. **(1 mark)**

Valuation of raw materials

Raw material inventory includes £220,000 of faulty goods that are due to be returned for a credit note. **(1 mark)** If the goods are not returned to the supplier, raw material inventory will be overvalued **(1 mark)** as the goods are not suitable for use in production. **(1 mark)**

Valuation of raw materials

Raw material inventory includes bulk goods with an estimated value of £254,000. **(1 mark)** The quantity received could be over or under estimated, and may have been included at the incorrect value. **(1 mark)** There is, therefore, a risk that if bulk goods are received around the year end then raw material inventory is misstated. **(1 mark)**

Valuation of Work In Progress ('WIP')

During the year, there were delays in production at the Leeds site that led to the increase in WIP at the November inventory count. **(1 mark)** Management has stated that this was a one-off event but we have no evidence that this has been rectified and so it could be repeated at the year-end. **(1 mark)** Therefore, if this problem has not been rectified there is a risk that WIP was not valued correctly as it is based on an estimation of stage of completion **(1 mark)** and counters may not have the experience to do this. **(1 mark)**

Valuation of Finished Goods - competition

A new competitor has entered the market with an improved version of a key product and there is evidence that the sales of Red Optical Laser may be reduced as a result. **(1 mark)** A provision **(1 mark)** may be required to write down the value of the finished goods in relation to Red Optical Lasers inventory held. **(1 mark)**

Valuation of Finished Goods – customer in administration

Customised inventory for customer GTZ Technologies, which is in administration, is included in finished goods. **(1 mark)** As the customer has gone into administration and the goods were customised there is a risk that there is no further market for the inventory **(1 mark)** and it will require to be written off. **(1 mark)**

Total marks available (20 marks)

Requirement 2: Weaknesses in goods received not invoiced accrual process ('GRNI')

Weakness	Implication	Recommendation
Review of GRNI standard prices Standard prices are used to calculate the GRNI, but these are only reviewed on an annual basis. **(1 mark)**	The company may fail to recognise significant changes in the cost of goods **(1 mark)** resulting in the overall estimate of the liability for goods received being materially over or understated. **(1 mark)**	The standard prices should be reviewed on a weekly basis **(1 mark)** to ensure that they reflect any changes in purchase cost in a timely manner. **(1 mark)**
No checking of goods received to purchase order ('PO') Raw materials received are booked into inventory based on delivery notes or weight of goods but are not confirmed to the original PO. **(1 mark)**	The company may recognise the liability for raw materials received **(1 mark)** which have not been ordered. **(1 mark)**	All received raw materials should be matched to a relevant purchase order before being scanned or manually entered into the system **(1 mark)** to ensure that the order is genuine and complete. **(1 mark)**
Manual input of bulk goods The value of bulk raw materials is estimated based on weight but there is no secondary check of the value before being entered into the system. **(1 mark)**	Estimates may not be calculated or correctly input into the inventory system due to human error, **(1 mark)** resulting in misstatements in the values of inventory held and the subsequent liability recorded in the GRNI. **(1 mark)** **Or** As the raw materials are not agreed to the original PO there is an opportunity for misappropriation of raw materials received by warehouse staff **(1 mark)** as no secondary check is performed to confirm that the estimate calculated and entered is consistent with the raw materials received. **(1 mark)**	The calculation of the estimate should be checked by another member of the warehouse team **(1 mark)** to confirm that it is consistent with the raw materials received and appropriate for booking into inventory. **(1 mark)**
Differences between purchase invoice and GRNI Any differences detected when matching purchase invoices to the relevant entry in the GRNI are posted to an inventory suspense account rather than being investigated. **(1 mark)**	Purchase invoices may not reflect the quantity of the actual raw materials received and result in Magma recognising liability and costs in the financial statements for raw materials never received or used during production. **(2 marks)**	This practice should be stopped. Purchase invoices should be agreed to the goods received note and the purchase order to confirm that they reflect the good ordered and any difference investigated. **(2 marks)**
Translation differences The GRNI and purchase invoices are translated at a standard rate set at the start of the financial year rather than the spot rate at point of delivery of goods or receipt of invoices. **(1 mark)**	The rate used to recognise the liability may not reflect current exchange rates **(1 mark)** and result in the liability being over/under stated. **(1 mark)**	The purchase invoice should be translated using the spot rate on the day of receipt. **(1 mark)** Any variance between the translated GRNI liability and the translated purchase invoice should be adjusted for in the financial statements. **(1 mark)**

Weakness	Implication	Recommendation
Reconciliation of purchase ledger to GRNI The PLCA reconciliation is performed monthly but a senior member of staff does not review it. **(1 mark)**	Errors, although detected, may not be corrected **(1 mark)** and result in potential misstatements in Magma's financial statements. **(1 mark)**	John Lloyd should review the monthly reconciliation **(1 mark)** and this should be signed off as evidence of review. **(1 mark)**

Total marks available (30 marks)

Overview of question (AAPQ 19)

This question is divided into two distinct requirements:

- Evaluate the audit risks relating to Magma's inventory.
- Identify weaknesses in the GRNI process, analyse implications, and recommend improvements.
- Structure your answer clearly, addressing each requirement separately. Use audit terminology accurately and support your evaluation with specific examples from the scenario.

Topics covered

- Module 4 – Audit planning
- Module 6 – Internal Control Testing

Learning outcomes and performance indicators

- Evaluate the information collected about an entity to identify the significant risks of material misstatement in the financial statements
- Evaluate an entity's control environment and information systems
- Recommend actions, including relevant IT general and applications controls, than an entity should implement to rectify weaknesses in its control environment and information systems

What this question is testing

This AAPQ tests your:

- ability to identify and evaluate audit risks related to inventory.
- understanding of inventory valuation principles and provisioning.
- ability to assess the design and operation of the GRNI process
- ability to recommend improvements to internal controls and processes.

Tips for tackling this question

- Consider the different types of inventory (raw materials, WIP and finished goods) and the audit risks which could impact each one.
- Remember that accuracy, valuation and allocation of inventory is a higher risk assertion for this balance.
- Consider the impact which each audit risk may have on the overall value of inventory (eg could this be overstated or understated?).
- Attempt to identify six weaknesses in the GRNI process (based on the mark allocation).
- You are encouraged to answer requirement 2 in a three-column table.

Where to find support

- **Module 4**: review guidance on risk assessment and audit strategy
- **Module 6:** review the control system for inventory

Solution to Question 20 (50 marks)

Requirement 1 – Analyse the cashflow forecast and evaluate the reasonableness of the assumptions and information given

Requirement 2 – Advise on further specific audit evidence to be obtained to ensure appropriate assurance over the issues identified in Question 6 and management's going concern assumption

Car insurance

Car insurance premiums have a forecasted increase of 17% through to June 20X4 based on the growth seen in the number of cars on the road in the past ten years. **(1 mark)** However, the FD noted that this growth is slowing due to many households going down to one car **(1 mark)** therefore there is a risk that the car insurance growth assumption is too high and the forecasted income may be overstated. **(1 mark)**

Further audit evidence required:

- Inspect Crown's growth trends from the last two to three years to ensure it is in line with management's current assumption. **(1 mark)**
- Review industry predictions on the UK car market for the next year to determine if the current assumption is reasonable. **(1 mark)**

House insurance

A prudent increase of 5% has been included in the house insurance premiums forecast based on historic performance. **(1 mark)** However, the finance team noted in 20X2 that customers were switching to competitors **(1 mark)** and therefore there is a risk that 5% is too high and the forecasted income may be overstated. **(1 mark)**Further audit evidence required:

- Enquire with the finance team the % of customers that have not renewed their policies in the previous year. **(1 mark)**
- Inspect competitor offerings to ensure this is the reason for customers switching. **(1 mark)**

Pet insurance

Per the commentary, Crown is in the final stages of the project to launch pet insurance and the current launch date is February 20X4. However, the cashflow forecasts have income being received from Q1 which is when the project was initially planned to launch **(1 mark)** and therefore there is a risk that the pet insurance inflows are overstated. **(1 mark)**

Further audit evidence required:

- Enquire with management how the project is progressing and the likelihood of the February launch occurring. **(1 mark)**
- Inspect the correspondence from the independent expert to ensure that the figures in the cashflow forecast match to those verified. **(1 mark)**

Claims paid

The claims paid figures included in the cashflow match the "claims confirmed" per a summary report received from the claims department. **(1 mark)** However, "claims unconfirmed" have not been included despite historically Crown paying 40% of these claims. **(1 mark)** The claims paid per the cashflow is at risk of being understated **(1 mark)** in the region of £2.4m1 for the period covered. **(1 mark)**

Further audit evidence required:

- Inspect historic claims documents **(1 mark)** to determine if 40% is accurate for "claims unconfirmed" eventually paid. **(1 mark)**
- Enquire with claims departments how they calculate their figures and corroborate summary report figures to back up information. **(1 mark)**

[1](1.6+0.9+2.3+1.1) *40%

Rent and office costs

Per the breakdown provided by the FD, office costs have increased by 10% in the forecast. However, per discussions, this was meant to be 15% based on the increase in energy prices. **(1 mark)**

Crown has also been given notice of a rent increase of £50k per month from October 20X3 but, upon inspection of the forecast, an increase is only evident from April 20X4. **(1 mark)** Both of these items are causing rent and office costs to be understated in the forecast. **(1 mark)**

Further audit evidence required:

- Inspect utility bills from last year and this year to determine if 15% increase is reasonable. **(1 mark)**
- Inspect rent notice to confirm £50k increase from October 20X3. **(1 mark)**

Payroll

Per the breakdown provided by the FD, payroll costs have increased by 3.3% in the forecast. The reason for this estimate was not outlined by the FD **(1 mark)** and this may not reflect current inflation rates. **(1 mark)**

Further audit evidence required:

- Request details on the premise of this estimate. **(1 mark)**

Bank loan

In Q2, the cashflow includes a cash inflow from a new fixed term loan at 3% interest, with the interest charge based on a previous loan the company had. The paperwork is still being finalised **(1 mark)** and there is a risk that the interest rate could be higher and therefore the interest expenses in the forecast are understated. **(1 mark)** The interest expenses also only start from Q3 despite the assumption that they will be paid a month from the drawdown so we would expect interest expenses in Q2. **(1 mark)**

Further audit evidence required:

- Inspect any correspondence with the bank **(1 mark)** to confirm whether the loan has been agreed and the relevant rates of interest and repayment terms. **(1 mark)**
- Review board minutes for discussions around the new loan and timings. **(1 mark)**

Insurance premium tax ('IPT')

When estimating IPT to be paid to the Government, the finance team have assumed a standard rate of 13% of total premiums. **(1 mark)** However, there is a higher rate of IPT that is charged for some policies therefore the IPT could be understated. **(1 mark)** For the y/e 30 June 20X3, the actual IPT paid was £23.3m based on premiums of £142.8m which equates to 16.3% of total premiums, **(1 mark)** providing further evidence that the forecast may be understated. **(1 mark)**

Further audit evidence required:

- Obtain a breakdown from the finance team of the rates applicable per policy and recalculate the average % for IPT due to be paid to the Government. **(1 mark)**
- Corroborate the rates to Government documentation to ensure correct rates being applied. **(1 mark)**

Corporation Tax and Other Taxes

Given the company seems profitable you would expect some corporation tax (and possibly rates) **(1 mark)** to be included in the cash flow forecast which is not the case currently. **(1 mark)**

Further audit evidence required:

- Obtain an estimate of taxes from Crown's management and inspect **(1 mark)** to check reasonableness compared to prior year tax paperwork/payments. **(1 mark)**

General evidence required:

- Evaluate management's method used to perform the going concern assessment, confirming
- it is appropriate to the applicable financial reporting framework. **(1 mark)**
- Obtain written representations from Crown's management that the company is a going
- concern. **(1 mark)**
- Review previous years projected forecasts against actuals to determine how accurate management has been in the past at predicting cashflows. **(1 mark)**
- Obtain confirmation from Crown's lawyers that there are no ongoing legal matters that could give rise to unrecorded liabilities and cash outflows or otherwise have a material effect on the company's ability to continue as a going concern. **(1 mark)**
- Ask management to redo the cashflow given the omissions and corrections identified. **(1 mark)**

Requirement 1 – Total marks available (26 marks)

Requirement 2 – Total marks available (24 marks)

Overview of question (AAPQ 20)

- This question requires you to analyse a cashflow forecast and evaluate the reasonableness of management's assumptions in support of the going concern basis.
- Start by identifying the key assumptions made regarding the cash inflows and cash outflows in the forecast and assess whether they are realistic and supported by appropriate evidence, based on the information you are given in the notes to the cashflow forecast.
- Then, consider what further audit evidence would be required to support or challenge these assumptions and support management'

Topics covered

- Module 10 – Completion and reporting
- Module 8 – Substantive procedures – Part 2

Learning outcomes and performance indicators

- Evaluate and advise on management's going concern assessment
- Design tailored substantive procedures in response to findings arising during the audit process

What this question is testing

This AAPQ tests your:

- ability to critically evaluate management's cashflow forecast and assess the reasonableness of assumptions made.
- understanding of the audit procedures required to support the going concern assumption and how to respond to potential material uncertainties.

Tips for tackling this question

- Break down the forecast into key components (eg car premiums, house premiums, insurance etc) and assess each assumption individually.
- Use quantitative analysis where possible to support your evaluation (eg compare forecasted growth to historical trends). However do not spend too much time on these calculations as there are limited marks available for these in the solution. Focus on the evaluation of each assumption and the associated risk of material misstatement.
- Clearly distinguish between assumptions that are reasonable and those that may be optimistic or unsupported.
- When recommending audit procedures, be specific and link them to the identified risks.

Where to find support

- **Module 10:** see Lesson 1 covering the going concern assumption.

Solution to Question 21 (39 marks)

Requirement 1– Using substantive analytical procedures, analyse the depreciation charge for the year for each individual item of PPE, advising whether the charge is reasonable or if further audit work is required

1. Sawmill land and building
   Land Valuation = £950,000
   Building valuation = £1,650,000 - £950,000 = £700,000 **(1 mark)**
   Only building should be depreciated on a 20-year straight line basis.
   Cost = £700,000 / 240 = £2,917 depreciation per month **(1 mark)**
   £2,917 * 12 = £35,004 **(1 mark)**

2. Tug
   Cost = €785,000 / 1.12 = £700,893 **(1 mark)**
   Refurbishment work = €300,000 / 1.12 = £267,857 **(1 mark)**
   (£700,893+ £267,857) x 10% / 12 months = £8,073 depreciation per month **(1 mark)**
   £8,073 * 6 months = £48,438 **(1 mark)**

3. Barge
   Cost = SEK 25,300,000 / 12.65 = £2,000,000 **(1 mark)**
   £2,000,000 x 10% / 12 months = £16,667 depreciation per month **(1 mark)**
   £16,667 * 4 months = £66,667 **(1 mark)**

4. Bark stripping machine
   Cost = £1,450,000
   £1,450,000/96 months = £15,104 **(1 mark)**
   £15,104*12 = £181,250 **(1 mark)**

5. Industrial saw
   Cost = £1,000,000
   £1,000,000 / 96 months = £10,416 **(1 mark)**
   £10,416 * 12 = £125,000 **(1 mark)**

6. Electric car
   Cost = £55,000
   £55,000 / 60 months = £917 **(1 mark)**
   £917 * 4 = £3,667 **(1 mark)**

Summary table

Asset	Auditor expectation £	Depreciation per asset register £	Difference £
Land and buildings	35,004	82,500	47,496
Tug	48,438	35,050	13,388
Barge	66,667	83,335	16,668
Bark stripping machine	181,250	185,000	3,750
Industrial saw	125,000	125,000	-
Electric Car	3,667	11,000	7,333

(1 mark)

Tolerable error has been set at £6,000.

As the difference between audit expectation and the client figures for the industrial saw has no error and the bark stripping machine is below tolerable error, no further analysis of this depreciation charge is required. **(1 mark)**

For the tug, land and buildings, barge and electric car the differences are above tolerable error and require further analysis. **(1 mark)**

Total marks available (19 marks)

Requirement 2 – Analyse the potential reasons for any variances between the expected and actual categories of depreciation charge

1. Land and buildings

The depreciation for this category of asset is overstated **(1 mark)** and would appear to be due to the inclusion of the land in depreciation calculations. **(1 mark)** This is not in line with company policy or the accounting standards. **(1 mark)**

2. Tug

The depreciation may be understated **(1 mark)** due to the refurbishment costs not being included in the cost of the asset. **(1 mark)** As per the accounting policies, expenditure can be capitalised if it is directly attributable to bringing the asset to the location and condition for it to be capable of operating in the manner intended by the management. **(1 mark)**

3. Barge

The Barge was purchased on 3 February and so depreciation should be charged from March to June, so for four months. **(1 mark)** The client has incorrectly taken depreciation over five months in its calculations. **(1 mark)** As per the accounting policies, depreciation is charged in the first full month of ownership. No depreciation is charged if the transfer of the asset did not occur on the first day of the month. **(1 mark)**

4. Electric car

Although the purchase order for the car was raised on 1 July 20X6, **(1 mark)** the company did not have economic benefit of the asset until the formal handing over of the keys on 1 March 20X7. **(1 mark)** The client has taken a full year's depreciation as opposed to only four months. **(1 mark)**

Total marks available (12 marks)

Requirement 3 – Recommend what further procedures would need to be performed to corroborate the reasons for any identified variances

1. Land and buildings

Inspect the surveyor report valuing the land at £950,000 **(1 mark)** to confirm the value of land and request that management reperform the depreciation calculation excluding land. **(1 mark)**

2. Tug

Inspect the description and value on the purchase invoices for both the purchase of the tug and the refitting **(1 mark)** and to confirm that the value which has been capitalised (and thus depreciated) meets capitalisation criteria. **(1 mark)**

3. Barge

Inspect the date per purchase invoice of the barge **(1 mark)** to confirm that this was purchased on 3 February and so should be depreciated from this date. **(1 mark)**

4. Electric car

Obtain purchase invoice, GRN and any correspondence with the manufacturer and inspect these **(1 mark)** to confirm that the care was received by Hilltop on 1 March 20X7. **(1 mark)**

Total marks available (8 marks)

Overview of question (AAPQ 21)

- This question requires you to apply substantive analytical procedures to evaluate the depreciation charge for individual assets and assess the reasonableness of the charge.
- You must also analyse the reasons for any variances and recommend further procedures to corroborate those reasons.
- A structured approach is essential: calculate expectations, compare to actuals, evaluate deviations, and propose follow-up actions.

Topics covered

- Module 7 – Substantive analytical procedures
- Module 8 – Substantive procedures – Part 2

Learning outcomes and performance indicators

- Design substantive analytical procedures, including audit data analytics.
- Evaluate the findings from substantive analytical procedures, including audit data analytics, and determine the items to be followed up
- Design tailored substantive procedures in response to findings during the audit process

What this question is testing

This AAPQ tests your ability to:

- apply substantive analytical procedures to PPE balances.
- evaluate the reasonableness of depreciation charges.
- identify and analyse variances between expected and actual depreciation.
- recommend further audit procedures to corroborate findings.
- demonstrate understanding of tolerable error.

Tips for tackling this question

- Use the depreciation policies and asset details to calculate expected depreciation.
- Consider each asset class in turn.
- Compare expected depreciation to actual and assess whether differences exceed tolerable error. You may find it helpful to use a table to do this.
- Clearly document your workings and state your assumptions.
- If the variance is above the tolerable error, link each variance to a specific reason, using the information you've been given in the Appendix to support your conclusions
- Recommend targeted procedures to corroborate each identified variance.
- When designing each substantive test ensure you include: verb (eg enquiry, inspection, recalculation, confirmation), population, evidence and activity.
- If the variance for an asset class does not exceed tolerable error, this asset does not need to be discussed further in requirement 2 or 3.

Where to find support

- **Module 7**: This module breaks down the steps you should follow when performing analytical procedures
- **Module 8**: For best practice on how to design substantive procedures revisit this module.

Solution to Question 22 (25 marks)

Ethical issue 1 – Rotation of audit partner

Fiver has had the same audit partner for the 8 years it has been an audit client. An audit partner's independence and judgement may be impaired due to familiarity, self-interest and self-review threats. **(1 mark)** The long association may cause the partner to be too familiar and too trusting with the client, resulting in less professional scepticism being exercised and the possibility of material misstatements remaining undetected. **(1 mark)** There is also a risk that they will be less sceptical of their own previous judgements, and long association and a close relationship create a personal interest in the client with may inappropriately influence the auditor's professional judgement or behaviour. **(1 mark)**

As Fiver is a listed company, the FRC's Ethical Standard (ES) guidance in relation to public interest clients applies. The engagement partner should be rotated after five years, **(1 mark)** with limited flexibility to increase this by two years – as Cathy has exceeded this period she should be rotated off this audit client. **(1 mark)**

Ethical issue 2 – Dependence on non-audit services

PCH provides various non-audit services for Fiver. If the auditor is receiving substantial fees for non-audit services, there may be perceived self-interest and intimidation threats to independence. **(1 mark)** The FRC's ES states that the total fees for non-audit services in relation to a public interest entity client are capped at 70% of average fees paid over the last three years. **(1 mark)**

For the year ended 20X3, non-audit services were 65% of the statutory audit fee, **(1 mark)** and therefore if the tax services discussed were performed there is a risk that this would breach the 70% threshold. 1 mark) In addition, where a client is listed, the audit firm cannot prepare current or deferred tax calculations **(1 mark)** which may be used by the entity to prepare accounting entries, and so the additional services should not be performed. **(1 mark)**

Ethical issue 3 – Financial interest in audit client

Liam has a financial interest in the audit client in the form of a direct shareholding, this constitutes a substantial self-interest threat. **(1 mark)** As Liam has shares in Fiver, he will benefit from the strong performance of the company, which may impair or be seen to impair his objectivity when performing the audit. **(1 mark)**

The self-interest threat created is so great that no safeguards can be implemented, **(1 mark)** therefore Liam should be removed from the audit immediately. **(1 mark)**

Ethical issue 4 – Personal relationship

Cathy's husband John is the financial controller of Fiver which creates familiarity, self-interest and intimidation threats as this may impair or be perceived to impair Cathy's integrity or objectivity. **(1 mark)**

A familiarity threat arises as she may be less sceptical of her husband's work as she trusts him. **(1 mark)**. Depending on his remuneration structure, it may be in the couple's interest for Fiver to perform well financially, and John may put pressure on Cathy to perform the audit in a certain way or overlook certain judgements. **(1 mark)**

As John is in a position to exert significant influence over the financial statements, **(1 mark)** Cathy should be removed from the audit team. **(1 mark)**

Ethical issue 5 – Gifts and hospitality

John has said that he may get to tickets to a rugby match at the end of the audit. Gifts or hospitality received by the auditor could be perceived as self-interest or familiarity threats. **(1 mark)**. It may impair or be seen to impair your objectivity, as you want the audit to go smoothly so that John follows through with his gift of the tickets. **(1 mark)**.

Gifts and hospitality can be accepted where the value is clearly trivial, such as a notebook and pen. **(1 mark)** However the value of the rugby tickets would not be clearly trivial, therefore these should be declined **(1 mark)** and may still be recorded as a declined gift in PCH's gifts and hospitality register, depending on the firm's policies. **(1 mark)**

Total marks available (25 marks)

Overview of question (AAPQ 22)

- This question requires you to identify and evaluate ethical threats arising in a real-world audit scenario. You should apply the ICAS Code of Ethics and the FRC *Ethical Standard* to assess the severity of each threat and recommend appropriate safeguards or actions. Structure your answer by addressing each ethical issue separately, clearly identifying the threat, its implications, and the recommended response.

Topics covered

- Module 1 – Professional Ethics

Learning outcomes and performance indicators

- Evaluate assurance engagements to identify and explain potential ethical implications
- Explain the implication of ethical threats to auditor independence and objectivity
- Recommend safeguards to ethical dilemmas

What this question is testing

This AAPQ tests your ability to:

- Identify ethical threats in an audit engagement.
- Apply ethical standards such as the FRC *Ethical Standard* and ICAS Code of Ethics, as well as professional judgement.
- Evaluate the impact of threats on auditor independence and objectivity.
- Recommend appropriate safeguards and actions.

Tips for tackling this question

- Use the ICAS Code of Ethics and FRC *Ethical Standard* terminology precisely.
- Identify the type of threat (eg self-interest, familiarity, intimidation) and take time to evaluate each.
- Recommend safeguards that are proportionate and practical.
- Consider whether threats are so significant that removal from the engagement is required.
- Refer to listing status and public interest considerations where relevant.

Where to find support

- **Module 1**: see guidance on ethical threats and safeguards.

Solution to Question 23 (27 marks)

Note: Within this solution, ISA (UK) references are given to provide students with technical references as to where information is included in the auditing standards. Including ISA (UK) standard numbers is not required to gain marks.

Lack of independence safeguards

ISA (UK) 220 stipulates that the engagement partner is responsible for evaluating and responding to threats to compliance with firm's policies and other professional standards or legal requirements. **(1 mark)** ISA (UK) 220 requires documentation of independence threats and relevant safeguards. **(1 mark)**

The lack of documentation may suggest that the audit engagement was inappropriately accepted in the prior year, breaching the FRC Ethical Standard. **(1 mark)** Alternatively, safeguards may have been put in place but not documented, breaching documentation requirements of the ISAs (UK). **(1 mark)** The engagement partner should review continuance documentation to confirm that all identified breaches have adequate safeguards in place, **(1 mark)** that these have been actioned and that the documentation regarding the appropriateness of the safeguards and actions taken is sufficient. **(1 mark)**

Engagement resource

Per ISA (UK) 220, it is the responsibility of the engagement partner to determine that the engagement is sufficiently and appropriately resourced, with sufficient time. **(1 mark)**

Without sufficient resource, the engagement may not be able to be completed to the appropriate level of quality and a wrong opinion may be issued. **(1 mark)** The lack of resource may be a root cause of the other quality management issues identified. **(1 mark)**

The deadlines agreed with the client may need to be extended (if possible) to ensure that the available resource is sufficient to complete the audit to the required level within agreed deadlines. **(1 mark)** If this is not possible, the engagement should not be continued. **(1 mark)**

Review of audit work

Per ISA (UK) 220, the engagement partner must take responsibility for the direction, supervision and review of the audit, and must also be satisfied that sufficient appropriate evidence has been obtained to support the conclusion reached in the auditor's report. **(1 mark)**

Audit work on revenue was not reviewed in the prior year, even though this was judged to be a high-risk area. **(1 mark)** A review of revenue by a more senior member of the audit team would have ensured that all areas of revenue were audited to provide sufficient and appropriate audit evidence. **(1 mark)** There is a risk that the audit firm may not have collected sufficient and appropriate evidence for revenue **(1 mark)** and may even have issued an inappropriate audit opinion. **(1 mark)**

A detailed task plan and review schedule should be documented and actioned for the upcoming audit if the engagement is continued. **(1 mark)** Responsibility should be allocated to the manager to monitor and review progress against the plan. **(1 mark)**

Lack of consultation

Under ISA (UK) 220, it is the responsibility of the engagement partner to ensure that consultation is taken on any contentious/difficult matters or other matters deemed to require consultation. **(1 mark)**

The concerns regarding the methodology of the client's expert should have been consulted on within the audit firm. **(1 mark)** Without this consultation, it is possible that an inappropriate conclusion was reached in relation to property revaluations. **(1 mark)**

The engagement team should perform a review of all contentious matters or matters that may require consultation, with relevant consultations taking place within the audit firm were deemed necessary. **(1 mark)**

Audit Partner

There are various suggestions that Caroline Miller has not fulfilled her responsibilities as engagement partner. **(1 mark)**

An independent partner should be brought in to fulfil the role of engagement quality reviewer (EQR), **(1 mark)**with sufficient and appropriate experience and no connection to the audit. **(1 mark)** The independent partner should also review other audits where Caroline is partner **(1 mark)** as there is a risk that the quality control deficiencies are not isolated incidents. **(1 mark)**

Total marks available (27 marks)

Overview of question (AAPQ 23)

- This question requires you to identify and evaluate quality management issues from a prior year audit file. You should consider the implications of each issue and recommend appropriate actions to rectify them. Structure your answer clearly by addressing each issue separately and explaining the guidance which supports it.

Topics covered

- Module 1 – Professional ethics
- Module 4 – Audit planning
- Module 10 – Completion and reporting

Learning outcomes and performance indicators

- Explain the purpose of Engagement Quality Review
- Recommend safeguards to ethical dilemmas

What this question is testing

This AAPQ tests your ability to:

- Identify deficiencies in audit quality management.
- Apply auditing standards and ethical requirements.
- Recommend appropriate remedial actions.
- Demonstrate understanding of engagement partner responsibilities and firm-wide quality control.

Tips for tackling this question

- The ISAs (UK) may help support your evaluation, however references to specific ISAs (UK) are not required in order to gain marks.
- Address each quality issue separately and clearly.
- Consider both engagement-level and firm-wide implications.
- Use bullet points or structured paragraphs for clarity.

Where to find support

- **Module 10** – Lesson 4 of this module is particularly relevant when answering this question.

Solution to Question 24 (25 marks)

Requirement 1 - Explain the purpose of a points forward schedule and analyse, with reasons, which specific points from the meeting should be included in the points forward schedule.

A points forward schedule is a list of points which need to be brought to the attention of next year's audit team. **(1 mark)** It will be used when planning next year's audit to ensure that any problems experienced this year are properly addressed. **(1 mark)** It will also ensure that any information gained during the 20X4 audit which related to the following year are carried forward. **(1 mark)**

Delays in agreed information

Renew did not provided agreed information at the start of the audit, which delayed initial progress. **(1 mark)** This should be included in the points forward schedule **(1 mark)** so that the audit team can raise this with Renew during next year's audit planning to allow the process to be managed better on the 20X4/X5 audit. **(1 mark)**

Production of new product

The new product line of sustainably made shoes has still been in development in the year ended 31 March 20X4 but is due to go into production in October 20X4. **(1 mark)** This should be included in the points forward schedule, **(1 mark)** as planning for the 20X4/X5 audit should consider how the team will gain sufficient, appropriate evidence over the revenue and costs in relation to the new product. **(1 mark)**

Audit Data Analytics

John has highlighted that the revenue workpapers were time-consuming to review as there were high number of samples which had been performed manually. **(1 mark)** This suggests that audit data analytics may be a more effective way of obtaining evidence over the revenue balance, **(1 mark)** and so this should be included in the points forward schedule to allow the audit team to plan accordingly next year. **(1 mark)**

Total marks available (12 marks)

Requirement 2 - Analyse, with reasons, which specific points from the meeting require to be reported to those charged with governance.

Note: Within this solution, ISA (UK) references are given to provide students with technical references as to where information is included in the auditing standards. Including ISA (UK) standard numbers is not required to gain marks.

Estimate – provision of inventory

The inventory provision has required significant estimation by the directors. **(1 mark)** It has been a material and highly judgemental area and it may be included in the audit report as a key audit matter. **(1 mark)** The auditor will need to communicate their views on this matter to those charged with governance. **(1 mark)**

Non-compliance with laws and regulations

Under ISA (UK) 250A Consideration of Laws & Regulations in an Audit of Financial Statements, an auditor should report all instances of non-compliance with laws and regulations that come to their attention to those charged with corporate governance. **(1 mark)** Therefore, the details of the unauthorised discharge of contaminated waste **(1 mark)** should be reported to those charged with governance. **(1 mark)**

Identified fraud

Under ISA (UK) 240 The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements, an auditor should report all instances of actual or suspected fraud identified. **(1 mark)** The theft of computer equipment detected during the year constitutes a misappropriation of assets **(1 mark)** and should be reported to those charged with governance. **(1 mark)**.

Weakness in internal controls

Under ISA 265 Communicating Deficiencies in Internal Control to Those Charged with Governance and Management, the auditor should communicate any significant deficiencies in internal control. **(1 mark)** The results of the internal controls testing demonstrated that correct documentation was not raised for certain sales made by individuals outside the sales team. This could result in unauthorised sales to falsely increase revenue. **(1 mark)** This demonstrates a significant weakness in internal controls and should be reported to those charged with governance. **(1 mark)**

Delays in agreed information

ISA 260 Communication With Those Charged With Governance requires communication of significant difficulties encountered during the audit. Therefore, the delay in obtaining information at the start of the audit should be communicated to those charged with governance, in addition to being included in the points forward schedule. **(1 mark)**

Total marks available (13 marks)

Overview of question (AAPQ 24)

- This question requires you to distinguish between matters that should be included in the points forward schedule and those that should be reported to those charged with governance. You should demonstrate your understanding of a points forward schedule and carefully consider the purpose of each reporting mechanism and apply your understanding of audit standards and ICAS terminology to justify your decisions.

Topics covered

- Module 10 – Completion and reporting

Learning outcomes and performance indicators

- Explain the purpose of and prepare completion documentation
- Explain the communication required with those charged with governance during and at the end of the audit

What this question is testing

- This AAPQ assesses your ability to apply audit standards and ICAS guidance to determine appropriate reporting mechanisms. It tests your understanding of the points forward schedule as a planning tool and your ability to identify matters that must be communicated to those charged with governance under relevant ISAs (UK)..

Tips for tackling this question

- Clearly define the purpose of a points forward schedule.
- Identify the items which should be included in the points forward schedule, justifying your reasoning for each inclusion
- Identify and justify which points should be reported to those charged with governance. You do not need to include references to specific ISAs (UK) in order to gain the marks, however an understanding of the requirements of the ISAs (UK) will help you to identify the relevant points
- Consider both practical implications and theoretical requirements when evaluating each point.

Where to find support

- **Module 10** – Lessons 4 and 6 of this module are particularly relevant when answering this question.

Solution to Question 25 (17 marks)

Requirement 1: Substantive tests for property plant and equipment

Standard tests

- Reconcile/agree the property, plant and equipment figures per the financial statements to the fixed asset register ('FAR'). **(1 mark)**
- Agree opening balances to prior year audited financial statements**. (1 mark)**
- Ensure property, plant and equipment is disclosed in accordance with relevant accounting standards and the Companies Act, by completing a disclosure checklist. **(1 mark)**
- Cast the fixed asset movement summary (note to the accounts) and the underlying FAR. **(1 mark)**

Physical verification

- Select a sample of property, plant and equipment from the client's premises and agree these to the FAR. **(1 mark)**
- Select a sample of property, plant and equipment from the FAR and physically verify the assets. **(1 mark)**

Additions

- Select a sample of additions from the FAR and inspect purchase invoice to **(1 mark)** agree the asset description, amount recorded, date of acquisition and that the invoice is in the name of PBN to confirm that it has been correctly capitalised at the right value and in the correct period **(1 mark)**
- Inspect board minutes **(1 mark)** for evidence of approval of any significant capital expenditure and ensure that this has been capitalised. **(1 mark)**

Depreciation

- Recalculate an expectation of the depreciation expense for each asset category based on the depreciation policy. **(1 mark)** Compare this to the actual depreciation expense and investigate major differences. **(1 mark)**
- Review the depreciation policy for appropriateness and ensure in line with industry comparatives. **(1 mark)**

Disposals

- Agree material disposals recorded in the FAR to cash book and inspected sales invoice **(1 mark)** to ensure the amount is correctly recorded and recalculate gain/loss. **(1 mark)**
- Inspect board minutes and cash book **(1 mark)** for evidence of disposals during the year and ensure these are correctly reflected in the FAR. **(1 mark)**

Total marks (17 marks)

Overview of question (AAPQ 25)

- This question requires you to demonstrate your understanding of substantive testing procedures for property, plant and equipment (PPE). Consider standard tests which you may perform over PPE before considering what tests could be performed over the different PPE movements per PBN's management accounts. You should approach this by identifying the key assertions relevant to PPE and selecting appropriate audit procedures to test each assertion. Structure your answer clearly by categorising procedures under headings such as additions, disposals, depreciation, and physical verification.

Topics covered

- Module 8 – Substantive procedures – Part 2

Learning outcomes and performance indicators

- Design and evaluate substantive testing audit work programmes
- Design tests of detail, including computer assisted audit techniques (CAATs) and audit data analytics (ADAs)

What this question is testing

The AAPQ tests your:

- ability to apply knowledge of audit procedures to a specific area of the financial statements.
- understanding of how to design and justify substantive procedures for PPE, including how to test additions, disposals, depreciation, and physical existence.
- to apply professional judgement in selecting appropriate procedures and explaining their purpose.

Tips for tackling this question

- Start by identifying the key assertions for PPE such as existence; accuracy, valuation and allocation; rights and obligations; and completeness.
- Structure your answer by category: additions, disposals, depreciation, and physical verification.
- When designing each substantive test ensure you include: verb (eg enquiry, inspection, recalculation, confirmation), population, evidence and activity.
- Demonstrate professional scepticism by considering the risk of misstatement and how your procedures address those risks.

Where to find support

- **Module 8** – review Lesson 2 which focuses specifically on designing a substantive testing work programme for PPE.

Solution to Question 26 (30 marks)

Requirement 1: Evaluate the distinct considerations and requirements when undertaking a forensic audit.

A forensic audit is an example of a type of assurance engagement **(1 mark)**, other than statutory audit.

It involves the application of auditing skills to situations which have legal consequences. **(1 mark)** This may involve the investigation of a fraud or suspected fraud, with a view to gathering evidence that could be presented in a court of law. **(1 mark)** Yoga's case is a reactive example of forensic audit. **(1 mark)**

Forensic audit can also involve using auditing skills in the prevention of fraud by identifying and rectifying situations which could lead to frauds being perpetrated, **(1 mark)** which would then be a proactive forensic audit. **(1 mark)**

In a forensic audit, an auditor may be engaged to specifically assess risk, test controls and identify weaknesses in those controls. **(1 mark)** Alternatively, an audit may apply substantive testing techniques to investigate suspected frauds by collecting and analysing evidence. **(1 mark)**

As a forensic audit is an assurance engagement it will fulfil the five elements of an assurance engagement, being a three-party relationship; appropriate underlying subject matter; suitable criteria; sufficient and appropriate audit evidence; and a written assurance report with an opinion/conclusion. **(2 marks)**

[Note to markers: a candidate may achieve 1 out of 2 marks above if three or more elements of an assurance engagement are mentioned, with five elements required for 2 marks]

Requirement 2: Using Appendix 1, design an audit programme to meet the required brief of the forensic audit engagement.

Membership revenue recognition – risk of overstatement (fraudulent financial reporting)

- For a sample of revenue journals posted in the final three weeks of 20X6 exhibiting fraud characteristics (e.g. posted by Carrie with no approval, or posted outside of normal working hours), inspect supporting invoice **(1 mark)** to confirm that the revenue occurred and that the correct proportion of the membership revenue has been recognised **(1 mark)**
- For a sample of membership agreements entered into during December 20X6 recalculate the proportion of revenue in relation to these which should be recognised in 20X6 and the proportion which should be deferred, **(1 mark)** and trace to financial records to confirm this has been correctly reflected in revenue and deferred revenue **(1 mark)**

Allowance for doubtful debts – risk of understatement (fraudulent financial reporting)

- For the aged receivables in relation to the corporate business arrangement, recalculate **(1 mark)** an allowance for doubtful debts with reference to company policy and IFRS requirements **(1 mark)**
- Enquire with management regarding why no allowance for doubtful debts has been made e.g. is this motivated by a desire to avoid expenses which will decrease profit **(1 mark)**
- Capitalisation of refurbishment cost – risk of overstatement (fraudulent financial reporting)
- Inspect invoices and other supporting documentation in relation to all studio costs which have been capitalised **(1 mark)** and verify whether the descriptions per the documentation relate to costs which are permitted to be capitalised under IFRS requirements **(1 mark)**
- For the refurbishments of ten studios scheduled for 20X7, inspect the project forecasts of when costs will be incurred **(1 mark)** and confirm that these have not yet been included within the ledger if they have not been incurred in 20X6 **(1 mark)**

Payment of fictitious employees – misappropriation of assets

- For all new employees paid in 20X6 per bank statements and payroll listing, inspect HR records **(1 mark)** to confirm that a signed contract and new joiner form exists **(1 mark)**
- Inspect evidence in relation to the recruitment of new joiners including job descriptions, advertisements and calendar invites for interviews **(1 mark)** to confirm that new joiners have been recruited by Yoga **(1 mark)**

Cash withdrawals from bank – misappropriation of assets

- Perform a large and unusual items review (substantive analytical review) over the company's bank statements, looking for suspicious items which may relate to payments to Carrie or Jamie **(1 mark)**
- Select a sample of payments both requested and authorised by Carrie and inspect supporting documentation **(1 mark)** to confirm that these relate to genuine payments **(1 mark)**

Collusion – enabling potential fraud

- Obtain and inspect email and direct message correspondence between Carrie and Jamie **(1 mark)** to check for evidence of discussions regarding collusion to either misappropriate cash or overstate profits **(1 mark)**

Overview of question (AAPQ 26)

- This question requires you to address two core aspects of a forensic audit:
- 1. Understanding the distinct considerations and requirements of a forensic audit.
- 2. Designing a tailored forensic audit programme using the detailed scenario in Appendix 1.

Topics covered

- Module 12 – Other Assurance Engagements and Related Services
- Module 8 – Substantive Procedures – Part 2

Learning outcomes and performance indicators

- Explain the nature of other assurance services, related services and other services provided by professional accountants and recommend suitable types of engagements
- Design and evaluate the distinct considerations and requirements when undertaking engagements other than a financial statement audit.

What this question is testing

The AAPQ tests your ability to:

- distinguish forensic audit from statutory audit.
- recognise indicators of fraudulent financial reporting such as overstated revenue, inappropriate capitalisation, and missing allowances for doubtful debts.
- identify risks of misappropriation of assets, including payments to fictitious employees and suspicious bank withdrawals.
- link each identified risk to a logical, well-justified forensic audit procedure.
- demonstrate professional scepticism, especially where individuals have inappropriate access rights or incentive pressures.

Tips for tackling this question

- Start by using general knowledge in relation to forensic audits to answer the first requirement.
- Read the scenario carefully and highlight indicators of potential fraud risks
- Link each risks to potential incentives to allow you to design specific procedures.
- When designing each substantive test ensure you include: verb (eg enquiry, inspection, recalculation, confirmation), population, evidence and activity.

Where to find support

- **Module 12** – review Lesson 4 which covers forensic audit in detail.
- **Module 8 –** review guidance on best practice for designing substantive procedures.

Solution to Question 27 (15 marks)

Requirement 1: Using Appendix 1, evaluate the results of the controls testing for Sinclair's and advise on the level of reliance that can be placed on the controls tested.

Inventory

In testing controls around the receipt of goods the audit team identified that the control involving performing a quantity and quality check upon receipt of all raw materials only took place when the warehouse manager was present, and so the control has not consistently operated effectively. **(1 mark)** As there have been occasions when this control has not operated as intended a control deficiency exists. **(1 mark)** As we have not been made aware of any mitigating controls which would address the deficiency, **(1 mark)** the audit team should not rely on the controls over receipt of goods. **(1 mark)**

Property, plant and equipment (PPE)

In testing controls around PPE disposals, the audit team did not identify any issues which could represent a control deficiency. **(1 mark)** Therefore, the audit team may rely on controls over PPE disposals. **(1 mark)**

Payroll

In testing controls around recording of overtime the audit team identified that the control involving the authorisation of overtime hours by the factory manager has not consistently operated effectively. **(1 mark)** A control deficiency exists as the factory manager has not authorised overtime in the last quarter of the year. **(1 mark)** However, the audit team have tested a mitigating control whereby the operations director has authorised exception reports showing overtime hours worked prior to payment, with no issues noted. **(1 mark)** As the mitigating control is operating effectively, the audit team can rely on payroll controls regarding the recording of genuine overtime. **(1 mark)**

Requirement 2: Explain the impact of control deficiencies on the overall audit process.

The existence of control deficiencies means that controls are designed ineffectively or not operating correctly **(1 mark)**, which will result in heightened control risk. **(1 mark)** The auditor will therefore have to reduce detection risk **(1 mark)** in order to bring the overall level of audit risk down to an acceptable level. **(1 mark)** In order to do this, the auditor will increase the amount of substantive testing performed, for example by performing additional tests of detail. **(1 mark)**

Overview of question (AAPQ 27)

- This question requires you to evaluate the results of controls testing over three key business cycles at Sinclair's Ltd (inventory, PPE, and payroll) and then conclude on the extent of reliance the audit team can place on each control. You must use the factual findings in Appendix 1 to determine whether each control is operating effectively, deficient, or supported by a compensating control. You must then explain how control deficiencies affect the wider audit, especially the level of substantive testing required**.**

Topics covered

- Module 6 – Internal Control Testing

Learning outcomes and performance indicators

- Plan an approach to the audit following the results of controls testing.
- Explain the impact of control deficiencies on the overall audit process.

What this question is testing

The AAPQ tests your ability to:

- evaluate internal controls based solely on presented findings.
- identify where control deficiencies exist and explain why.
- recognise when mitigating controls compensate for a failure in the primary control.
- decide whether reliance on controls is appropriate.
- explain how control failures increase control risk, requiring the auditor to reduce detection risk by increasing substantive testing.

Tips for tackling this question

- Consider the results for each financial statement account in turn
- Remember that a control that does not operate consistently is not reliable, even if it works sometimes, but that evidence of a functioning compensating control can restore reliance.
- When answering requirement 2, state the audit impact explicitly: deficiency → higher control risk → lower acceptable detection risk → more substantive testing.

Where to find support

- **Module 12** – review Lesson 4 which covers forensic audit in detail.
- **Module 8 –** review guidance on best practice for designing substantive procedures.

Solution to Question 28 (20 marks)

Audit evidence collected	Evaluation of evidence and conclusions
Additions testing Sample item 1	The purchase of delivery vehicle 26 has been agreed to purchase invoice and bank statement. **(1 mark)** The evidence is appropriate as it includes 3rd party evidence and confirms that the sample item relates to a capital item which has been purchased during the year for £25,000. **(1 mark)** The audit evidence obtained is sufficient and appropriate. **(1 mark)**
Additions testing Sample item 2	The explanation provided by the finance manager has been documented but this has not been corroborated. Enquiry alone is never sufficient and is inherently unreliable. **(1 mark)** The explanation should be corroborated by inspecting supporting documentation to confirm that the addition has been split equally between the Falkirk and Cumbernauld store identifiers and that the Falkirk allocation has also been recognised in the additions listing. **(1 mark)** Enquiry alone does not provide sufficient, appropriate audit evidence. **(1 mark)**
Additions testing Sample item 3	While the audit junior has agreed the date and value of the sample item to purchase invoice and bank statement, the description of this item is not appropriate for a capitalised asset. **(1 mark)** If the item relates to repairs, it is likely that these should be expensed rather than capitalised. **(1 mark)** Further evidence is required in relation to the nature of this sample item. **(1 mark)** The current level of audit evidence in relation to the classification assertion is insufficient. **(1 mark)**
Disposals testing Methodology	While one sample has been tested appropriately, the sample selection methodology has not enabled sufficient evidence to be collected. **(1 mark)** The untested balance of £105,000 is material. **(1 mark)** Rather than testing the trivial disposal of an old laptop, the pizza ovens and refrigeration equipment need to be selected and traced to supporting documentation. **(1 mark)** Sufficient, appropriate evidence has not been obtained over disposals. **(1 mark)**
Revaluation of head office	The audit junior has documented their discussion with the finance manager but has not inspected any 3rd party documentation in relation to the revaluation. **(1 mark)** The revaluation report from the external property surveyor should be inspected and agreed to the revaluation uplift. **(1 mark)** However, given concerns regarding the independence of the expert, an auditor's expert should be engaged to provide an unbiased valuation for the head office. **(1 mark)** The information provided alone is insufficient audit evidence. **(1 mark)**

Conclusion

The audit evidence obtained is not sufficient and appropriate when testing additions, disposals and revaluations. **(1 mark)** Further audit evidence should therefore be obtained in order to conclude on the property, plant and equipment balance in Pizza's financial statements. **(1 mark)**

Overview of question (AAPQ 28)

- This question requires you to evaluate the audit evidence collected by the audit junior on the Pizza 4 Now Limited audit and conclude on whether the evidence is sufficient and appropriate. You must critically evaluate the results presented by the audit junior in the appendix considering the sufficiency and appropriateness of evidence gathered over additions to, disposals of and revaluations of PPE, before reaching a conclusion.

Topics covered

- Module 10 – Completion and Reporting

Learning outcomes and performance indicators

- Evaluate the sufficiency and appropriateness of audit evidence at the completion stage of the audit, including the evaluation of misstatements arising from the audit.

What this question is testing

The AAPQ tests your ability to:

- evaluate the sufficiency and appropriateness of audit evidence.
- critically appraise audit findings.
- reach a conclusion as to whether further evidence is required and why.

Tips for tackling this question

- Consider the results presented for additions, disposals and revaluations in turn.
- Identify what procedure has been performed before considering whether this provides sufficient and appropriate audit evidence.
- Remember sufficiency is a measure of whether or not you have enough evidence and appropriateness is a measure of whether or not the evidence is relevant and reliable.
- Make sure you explain why the evidence presented is/is not sufficient and appropriate, before reaching your conclusion.

Where to find support

- **Module 10** – review Lesson 3 which contains a tutor tip on this topic.